MORTGAGE AND SECURITY AGREEMENT

(With Absolute Assignment of Leases and Rents)

by and from

PALMETTO GATEWAY PARTNERS LLC
a South Carolina limited liability company

as Borrower and Mortgagor

to

CALVERLEY HERITAGE BANK
a Georgia state-chartered commercial bank

as Lender and Mortgagee

Dated as of April 15, 2025

Property: 520–534 King Street, Charleston, South Carolina 29403
Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009,
together with the vacated Anson Lane strip, Charleston County, South Carolina

Principal Amount Secured: $14,750,000.00
(including future advances of the Renovation Holdback)

RECORDING INFORMATION
To be recorded in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina.

AFTER RECORDING, RETURN TO: Fielding, Ashworth & Cole LLP, Charleston, South Carolina, Attn: Catherine Ashworth, Partner

PREPARED BY: Fielding, Ashworth & Cole LLP, counsel for Lender

DRAFT — MARCH 27, 2025 — PRIVILEGED AND CONFIDENTIAL — SUBJECT TO REVIEW AND COMMENT

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THIS MORTGAGE AND SECURITY AGREEMENT (this "**Mortgage**") is made and entered into as of April 15, 2025 (the "**Closing Date**"), by and between **PALMETTO GATEWAY PARTNERS LLC**, a South Carolina limited liability company, having its principal office at 88 Broad Street, Suite 200, Charleston, South Carolina 29401, South Carolina Secretary of State Filing No. 2024-0011287, Employer Identification No. 84-6213750 (together with its successors and permitted assigns, "**Borrower**" and "**Mortgagor**"), and **CALVERLEY HERITAGE BANK**, a Georgia state-chartered commercial bank insured by the Federal Deposit Insurance Corporation, having its principal office at 412 Whitaker Street, Savannah, Georgia 31401, Employer Identification No. 58-2947136 (together with its successors and assigns, "**Lender**" and "**Mortgagee**").

RECITALS

A. Lender has agreed to make a loan to Borrower in the original principal amount of Fourteen Million Seven Hundred Fifty Thousand and No/100 Dollars ($14,750,000.00) (the "**Loan**"), on the terms and subject to the conditions set forth in that certain binding Term Sheet — Commercial Real Estate Loan dated April 1, 2025, between Lender and Borrower (Deal Reference CHB CRE Loan No. 2025-CHS-0047) (the "**Term Sheet**"), and in a promissory note of even date herewith in the original principal amount of the Loan, executed by Borrower and payable to the order of Lender (together with all extensions, renewals, restatements, replacements and amendments thereof, the "**Note**").

B. The Loan will be advanced in two components: an initial advance of Twelve Million Five Hundred Thousand and No/100 Dollars ($12,500,000.00) at Closing (the "**Initial Advance**"), and a renovation holdback of Two Million Two Hundred Fifty Thousand and No/100 Dollars ($2,250,000.00) (the "**Renovation Holdback**") to be held by Lender and disbursed to Borrower from time to time on a draw basis in accordance with Article 8 for the purpose of funding a portion of the renovation of the Property described on **Exhibit D**.

C. Borrower is acquiring fee simple title to the Property (as defined below) simultaneously with the execution and recording of this Mortgage, and the proceeds of the Initial Advance will be applied toward the purchase price of the Property, closing costs and funded reserves.

D. Borrower has executed and delivered, or will execute and deliver concurrently herewith, (i) the Note; (ii) this Mortgage, which includes an absolute and present assignment of all Leases and Rents as provided in Article 4; (iii) a Guaranty Agreement from Neil Ashford Graydon, an individual, of 14 Church Street, Charleston, South Carolina 29401 ("**Guarantor**"), including the non-recourse carve-out guaranty contemplated by Section 5.5(a) of the Term Sheet; (iv) a Completion Guaranty from Guarantor contemplated by Section 5.5(b) of the Term Sheet; (v) an Interest Shortfall Guaranty from Guarantor contemplated by Section 5.5(c) of the Term Sheet; (vi) an Environmental Indemnity Agreement executed by Borrower and Guarantor in favor of Lender; and (vii) a UCC-1 financing statement to be filed with the South Carolina Secretary of State and a fixture filing to be

recorded in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina (the "**RMC Office**").

E. This Mortgage is intended to be a first-priority mortgage lien on, and security interest in, the Property and the other Collateral, and to constitute an absolute and present assignment of all Leases and Rents, as more particularly provided herein.

NOW, THEREFORE, in consideration of the Loan, the covenants and agreements contained herein, and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Borrower and Lender agree as follows:

ARTICLE 1 — DEFINITIONS AND RULES OF CONSTRUCTION

1.1 Defined Terms. For purposes of this Mortgage, the following terms have the following meanings:

(a) "**Affiliate**" means, with respect to any Person, any other Person that directly or indirectly Controls, is Controlled by, or is under common Control with, such Person. "**Control**" means the possession, directly or indirectly, of the power to direct or cause the direction of the management and policies of a Person, whether through ownership of voting securities, by contract or otherwise.

(b) "**Annual Debt Service**" means, as of any date of determination, the annual amount of principal and interest that would be payable with respect to the outstanding principal balance of the Loan at the interest rate then in effect (after giving effect to the SOFR Floor), calculated on the basis of a twenty-five (25) year amortization schedule, determined without regard to any interest-only period then in effect.

(c) "**Business Day**" means any day other than a Saturday, a Sunday or a day on which national banks in the State of Georgia or the State of South Carolina are authorized or required by law to close.

(d) "**Closing Date**" means April 15, 2025, being the date of this Mortgage and the date on which the Initial Advance is made.

(e) "**Collateral**" means, collectively, the Property and all other property, rights and interests described in Article 3, together with all Proceeds thereof.

(f) "**Completion Guaranty**" means the Completion Guaranty of even date herewith executed by Guarantor in favor of Lender, guaranteeing completion of the Renovation in accordance with the Plans and the Renovation Budget on or before the Substantial Completion Deadline within the Renovation Budget, as the same may be amended, restated or replaced from time to time with Lender's written consent.

(g) "**Daily SOFR**" means the Secured Overnight Financing Rate as published by the Federal Reserve Bank of New York (or a successor administrator) on the applicable Business Day, or, if such rate is not published on such Business Day, the rate published on the immediately preceding Business Day.

(h) "**Default Rate**" means a per annum rate of interest equal to the otherwise applicable interest rate under the Note plus five percent (5.00%) per annum.

(i) "**DSCR**" means, for any period of determination, Net Operating Income for such period divided by Annual Debt Service.

(j) "**Environmental Indemnity Agreement**" means the Environmental Indemnity Agreement of even date herewith executed by Borrower and Guarantor in favor of Lender, as amended, restated, supplemented or replaced from time to time in accordance with its terms.

(k) "**Environmental Laws**" means all federal, state and local laws, statutes, ordinances, rules, regulations, orders, judgments, permits and governmental requirements relating to pollution, the protection of human health or the environment, or the presence, use, generation, storage, treatment, transportation, disposal, release or threatened release of Hazardous Materials, including the Comprehensive Environmental Response, Compensation, and Liability Act (42 U.S.C. § 9601 et seq.), the Resource Conservation and Recovery Act (42 U.S.C. § 6901 et seq.), and all comparable South Carolina statutes and regulations, including the South Carolina Hazardous Waste Management Act and the South Carolina Pollution Control Act, in each case as amended.

(l) "**Event of Default**" means any event or condition described in Section 14.1.

(m) "**GAAP**" means generally accepted accounting principles in the United States of America, consistently applied.

(n) "**GC Contract**" means that certain construction contract between Borrower, as owner, and the General Contractor, as contractor, providing for a contract sum of Two Million Eight Hundred Fifty Thousand and No/100 Dollars ($2,850,000.00) covering hard costs of construction of the Renovation, together with all schedules, exhibits, amendments, change orders and modifications thereto approved by Lender in accordance with Section 8.8.

(o) "**General Contractor**" means Beaufort Builders Group LLC, a South Carolina limited liability company, South Carolina General Contractor License No. SC-GC-47921, with its principal office at 2200 Boundary Street, Suite 150, Beaufort, South Carolina 29902.

(p) "**Guaranty**" means, collectively, the Guaranty Agreement (including the non-recourse carve-out guaranty), the Completion Guaranty and the Interest Shortfall Guaranty, each of even date herewith and each executed by Guarantor in favor of Lender, as each may be amended, restated or replaced from time to time with Lender's written consent.

(q) "**Hazardous Materials**" means any substance, material or waste that is regulated under any Environmental Law as hazardous, toxic, a pollutant, a contaminant or a waste, including petroleum and petroleum products, perchloroethylene and other chlorinated solvents, volatile organic compounds, polychlorinated biphenyls, asbestos-containing materials, lead-based paint, urea formaldehyde, and radon.

(r) "**Impositions**" means all real property taxes, assessments, water and sewer charges, vault charges, business improvement district assessments, and other governmental charges, levies and impositions of every kind and nature whatsoever, whether general or special, ordinary or extraordinary, foreseen or unforeseen, that are or may be assessed, levied or imposed upon the Property, the Rents or the Loan, together with all interest, penalties and costs of collection thereof.

(s) "**Independent Manager**" means a natural person who is not, and has never been, a member, manager, officer, employee, creditor, contractor or affiliate of Borrower, Guarantor, Graydon Development Group LLC, Tidewater Opportunity Fund II LP, Harborline Capital Advisors LLC or any of their respective Affiliates, and who is designated as the "Independent Manager" (or equivalent) of Borrower pursuant to Borrower's organizational documents.

(t) "**Initial Advance**" means the advance of Twelve Million Five Hundred Thousand and No/100 Dollars ($12,500,000.00) made on the Closing Date.

(u) "**Insurance Requirements**" means all terms of any insurance policy required under Article 9 and all requirements of any insurer, rating bureau or similar organization applicable to the Property.

(v) "**Interest Shortfall Guaranty**" means the Interest Shortfall Guaranty of even date herewith executed by Guarantor in favor of Lender, guaranteeing payment of any shortfall in debt service payments during the Renovation and initial lease-up period described therein, as amended, restated or replaced from time to time with Lender's written consent.

(w) "**Leases**" means all present and future leases, subleases, licenses, concessions, occupancy agreements and other agreements (whether written or oral) pursuant to which any Person is granted a right of use or occupancy of any portion of the Property, together with all guaranties, security deposits, letters of credit and other credit support therefor, including, without limitation, the leases identified on **Exhibit B**.

(x) "**Loan Documents**" means, collectively, the Term Sheet (for so long as any obligation thereunder remains in effect), the Note, this Mortgage, the Guaranty, the Environmental Indemnity Agreement, the UCC-1 financing statement and fixture filing, all reserve and escrow agreements, all interest rate protection agreements (if any) between Borrower (or Guarantor) and Lender or its Affiliate, the Operating Agreement Amendment (as defined in Section 7.6), and each other document, instrument, certificate or agreement now or hereafter executed by Borrower, Guarantor or any other Person in connection with the Loan or delivered to Lender in connection therewith, as each may be amended, restated, supplemented or replaced from time to time.

(y) "**LUR**" means that certain Land Use Restriction and institutional control recorded in Deed Book 1203 at Page 89 in the RMC Office, imposed by SCDHEC with respect to SCDHEC Site ID SC-29403-0772, as described in

Article 11, together with any amendment, modification, replacement or successor instrument recorded with the approval of SCDHEC.

(z) "**Maturity Date**" means April 15, 2030, being the fifth (5th) anniversary of the Closing Date, or such earlier date on which the entire outstanding principal balance of the Loan, together with all accrued and unpaid interest and all other Secured Obligations, becomes due and payable, whether by acceleration or otherwise.

(aa) "**Net Operating Income**" means, for any period, the sum of (i) all rents, expense reimbursements, percentage rent, parking income, service income and other operating income of the Property actually collected during such period, less (ii) all operating expenses of the Property paid or accrued during such period, including Impositions, insurance premiums, utilities, repairs and maintenance, management fees (not to exceed four percent (4%) of gross revenues), and common area maintenance costs, in each case determined in accordance with GAAP consistently applied, and excluding (A) debt service, (B) capital expenditures, (C) depreciation, amortization and other non-cash charges, (D) income and franchise taxes, (E) non-recurring income and expense, (F) lease termination fees and other extraordinary income, and (G) any income or expense attributable to any period more than twelve (12) months prior to the date of determination.

(bb) "**Operating Agreement**" means the Amended and Restated Operating Agreement of Borrower effective as of January 12, 2024, as amended through March 1, 2025, and as further amended by the Operating Agreement Amendment.

(cc) "**Permitted Exceptions**" means those exceptions to title approved in writing by Lender and identified on **Exhibit C**, together with such other exceptions as Lender may approve in writing from time to time.

(dd) "**Person**" means any individual, corporation, limited liability company, partnership, joint venture, trust, estate, association, unincorporated organization or governmental authority.

(ee) "**Plans**" means the plans and specifications for the Renovation prepared by Borrower's architect and approved by Lender in writing prior to the Closing Date, as amended from time to time with Lender's written consent in accordance with Section 8.7.

(ff) "**Proceeds**" has the meaning given that term in the South Carolina Uniform Commercial Code, S.C. Code Ann. § 36-9-101 et seq., and includes whatever is receivable or received when Collateral or proceeds of Collateral are sold, collected, exchanged or otherwise disposed of, whether such disposition is voluntary or involuntary, and includes all rights to payment, including insurance proceeds, condemnation awards and Rents.

(gg) "**Property**" means (i) the real property described on **Exhibit A** (the "**Land**"), being Lots 7, 8 and 9 of the Hampstead Village Plat and the vacated Anson Lane strip, Charleston County, South Carolina, Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009; and (ii) all buildings, structures, improvements, fixtures

and building systems now or hereafter located on, affixed to or used in connection with the Land.

(hh) "**Renovation**" means the renovation, restoration, modernization and improvement of the Property described in the Plans and funded in part by the Renovation Holdback in accordance with the Renovation Budget.

(ii) "**Renovation Budget**" means the total renovation budget for the Property in the amount of Three Million One Hundred Fifty Thousand and No/100 Dollars ($3,150,000.00), as summarized on **Exhibit D**, as the same may be amended from time to time in accordance with Section 8.2.

(jj) "**Renovation Holdback**" means Two Million Two Hundred Fifty Thousand and No/100 Dollars ($2,250,000.00), being the portion of the Loan to be held by Lender and disbursed on a draw basis in accordance with Article 8.

(kk) "**Rents**" means all rents (including percentage rents), issues, profits, royalties, revenue, income, receipts, charges, deposits, security deposits (to the extent of Borrower's interest therein), proceeds of leases, lease termination payments, tenant reimbursements, escalation payments, parking revenues, concession revenues and other sums now or hereafter payable under or in connection with the Leases or the use or occupancy of the Property.

(ll) "**SCDHEC**" means the South Carolina Department of Health and Environmental Control, and any successor agency.

(mm) "**Secured Obligations**" means all present and future obligations and liabilities of Borrower to Lender under or in respect of the Loan Documents, whether direct or indirect, absolute or contingent, joint or several, due or to become due, now existing or hereafter arising, including (i) the outstanding principal balance of the Loan (including the Renovation Holdback whether or not advanced), (ii) all accrued and unpaid interest, including interest at the Default Rate, (iii) all late charges, prepayment premiums and yield maintenance amounts, (iv) all costs of collection, enforcement, foreclosure, and protection of the Collateral, including reasonable attorneys' fees actually incurred, (v) all sums advanced by Lender under this Mortgage or any other Loan Document, including advances for Impositions, insurance premiums, repairs, receivership or environmental remediation, and (vi) all obligations under any interest rate protection agreement between Borrower (or Guarantor) and Lender or any Affiliate of Lender.

(nn) "**SOFR Floor**" means a rate of three percent (3.00%) per annum, being the minimum Daily SOFR used in determining the rate of interest under the Note.

(oo) "**Substantial Completion**" means completion of the Renovation in accordance with the Plans, as certified by Borrower's architect, and the issuance by the City of Charleston of a certificate of occupancy (or equivalent) for the renovated portions of the Property.

(pp) "**Substantial Completion Deadline**" means June 15, 2026, being the date fourteen (14) months after the Closing Date.

(qq) “**Treasury Rate**” means, with respect to any date of determination, the yield to maturity, as of the second (2nd) Business Day preceding such date, of the United States Treasury security reported in Federal Reserve Statistical Release H.15 — Selected Interest Rates (or any successor publication) having a maturity date closest to, but not exceeding, the last day of the Yield Maintenance Period; and if no published maturity date exactly matches the last day of the Yield Maintenance Period, the Treasury Rate shall be determined by linear interpolation between the two published maturities nearest to such last day.

(rr) “**UCC**” means the South Carolina Uniform Commercial Code, S.C. Code Ann. § 36-1-101 et seq.

(ss) “**Yield Maintenance Period**” means the period commencing on the day after the expiration of the Lockout Period and ending on the last day of the forty-eighth (48th) month following the Closing Date, being April 15, 2029.

(tt) “**Lockout Period**” means the period commencing on the Closing Date and ending on the last day of the twenty-fourth (24th) month following the Closing Date, being April 15, 2027.

(uu) “**Guarantor**” means Neil Ashford Graydon, an individual, residing at 14 Church Street, Charleston, South Carolina 29401, and his estate, heirs, successors and permitted assigns.

1.2 Rules of Construction. In this Mortgage, unless the context otherwise requires: (a) the singular includes the plural and vice versa; (b) headings and captions are for convenience only and do not affect interpretation; (c) “including” means “including without limitation”; (d) references to Articles, Sections and Exhibits are to Articles and Sections of, and Exhibits to, this Mortgage, each of which is incorporated herein by reference; (e) “hereof,” “herein,” “hereunder” and similar terms refer to this Mortgage as a whole; (f) references to any statute, regulation or agreement include amendments, replacements and successor provisions; (g) “days” means calendar days unless Business Days are specified; and (h) this Mortgage has been negotiated by the parties with the assistance of counsel and shall not be construed more strictly against either party as the drafter.

1.3 Accounting Terms. All accounting terms not otherwise defined herein have the meanings assigned to them under GAAP, applied on a consistent basis.

ARTICLE 2 — THE LOAN, THE NOTE AND PAYMENT TERMS

2.1 The Note; Principal Amount. Borrower has executed and delivered the Note in the original principal amount of Fourteen Million Seven Hundred Fifty Thousand and No/100 Dollars ($14,750,000.00), representing the Initial Advance and the Renovation Holdback. The outstanding principal balance of the Note, together with all accrued and unpaid interest and all other Secured Obligations, shall be due and payable on the Maturity Date.

2.2 Interest Rate. Interest shall accrue on the outstanding principal balance of the Loan at a floating rate per annum equal to Daily SOFR plus two hundred

eighty-five (285) basis points (2.85%), provided that, for purposes of determining the applicable rate, Daily SOFR shall not be less than the SOFR Floor. Interest shall be computed on the basis of the actual number of days elapsed over a year of three hundred sixty (360) days.

2.3 Payments. Accrued interest on the outstanding principal balance of the Loan shall be due and payable monthly in arrears on the fifteenth (15th) day of each calendar month (each, a "**Payment Date**"), commencing on May 15, 2025, with the final payment due on the Maturity Date. All payments shall be made in lawful money of the United States, in immediately available funds, to Lender at its address for payment set forth in Section 17.6 or to such other account as Lender may designate in writing, without setoff, deduction, counterclaim or withholding of any kind.

2.4 Interest-Only Period; Amortization. From the Closing Date through and including April 15, 2027 (the "**Interest-Only Period**"), each monthly payment shall consist solely of accrued interest on the outstanding principal balance of the Loan. Commencing with the Payment Date occurring on May 15, 2027, and continuing on each Payment Date thereafter through and including the Maturity Date, each monthly payment shall consist of principal and interest in the amount necessary to fully amortize the then outstanding principal balance of the Loan over a twenty-five (25) year amortization schedule at the interest rate then in effect (after giving effect to the SOFR Floor), with the entire remaining unpaid principal balance, all accrued and unpaid interest and all other Secured Obligations due and payable on the Maturity Date. Borrower acknowledges that the Loan is a balloon loan and that the scheduled monthly payments after the Interest-Only Period will not fully amortize the Loan over its term.

2.5 Default Rate. Upon the occurrence and during the continuance of an Event of Default, the outstanding principal balance of the Loan and, to the extent permitted by applicable law, all other Secured Obligations, shall bear interest at the Default Rate, accruing from the date of the Event of Default until such Event of Default is cured or the Loan is repaid in full, whichever first occurs. The application of the Default Rate is not a waiver of any Event of Default nor a waiver of Lender's right to accelerate the Loan, and interest at the Default Rate shall be a Secured Obligation.

2.6 Late Charge. If any monthly installment of principal and/or interest is not received by Lender within ten (10) calendar days after the applicable Payment Date, Borrower shall pay to Lender, on demand, a late charge equal to five percent (5%) of the overdue installment. Borrower acknowledges that the late charge is intended to compensate Lender for the additional administrative expense of processing late payments and is not a penalty, and that the late charge is payable whether or not an Event of Default has occurred and whether or not Lender has given notice. The late charge is in addition to, and not in lieu of, interest at the Default Rate.

2.7 Maximum Lawful Rate; Savings Clause. Notwithstanding anything to the contrary in this Mortgage or the other Loan Documents, in no event shall the total

interest and other charges contracted for, charged or received by Lender under the Loan Documents exceed the maximum rate permitted by applicable law. If any amount in excess of such maximum is charged or received, (a) it shall be deemed a mistake and shall be canceled automatically, or, at Lender's option, applied to reduce the principal balance of the Loan, and (b) the effective rate of interest shall be automatically reduced to the maximum lawful rate, and any amounts previously paid in excess of such rate shall be credited against the principal balance of the Loan. To the extent permitted by applicable law, all amounts that constitute interest shall be amortized, prorated, allocated and spread over the full period of the Loan.

2.8 Application and Order of Payments. All payments received by Lender shall be applied (a) first, to any sums advanced by Lender for the protection of the Collateral, (b) second, to late charges, prepayment premiums and other fees then due, (c) third, to accrued and unpaid interest, (d) fourth, to principal, and (e) fifth, to any other Secured Obligations, in each case in such order as Lender may determine in its discretion and in accordance with the Note. Any payment received after 2:00 p.m. Eastern time on a Business Day shall be deemed received on the next Business Day.

ARTICLE 3 — GRANT OF MORTGAGE; SECURITY INTEREST; COLLATERAL

3.1 Granting Clause. For the purpose of securing the payment and performance of all Secured Obligations, Borrower hereby grants, bargains, sells, conveys, mortgages, pledges, hypothecates, assigns, transfers and sets over unto Lender, and grants to Lender a first-priority mortgage lien on and security interest in, all of Borrower's right, title and interest, whether now owned or hereafter acquired, in, to and under the following (collectively, the "**Collateral**"):

(a) the Land described on **Exhibit A**, being Lots 7, 8 and 9 of the Hampstead Village Plat, as recorded in Plat Book 41 at Page 218 in the RMC Office, together with that certain strip of land formerly known as Anson Lane, vacated by City of Charleston Ordinance No. 2019-084 and conveyed by quitclaim deed recorded in Deed Book 1128 at Page 443 in the RMC Office, and more particularly described on **Exhibit A**, together with all rights, privileges, tenements, hereditaments, easements, rights-of-way and appurtenances thereunto belonging or in any way appertaining, and all reversions and remainders therein; Charleston County Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009;

(b) all buildings, structures, improvements, fixtures and building systems now or hereafter erected, installed or located on, in or under the Land, including all HVAC equipment, elevators and elevator systems, plumbing, electrical systems, fire protection and life safety systems, roofing, and all materials, supplies, equipment and goods delivered to the Land and intended for incorporation therein;

(c) all personal property, equipment, machinery, furniture, furnishings, trade fixtures, inventory, supplies and other tangible personal property owned by Borrower and used or useful in connection with the ownership, operation, management, renovation, maintenance or leasing of the Property;

(d) all accounts, chattel paper, deposit accounts, instruments, letter-of-credit rights, investment property, general intangibles, payment intangibles, software and supporting obligations, in each case to the extent relating to the Property or the operation thereof;

(e) all Leases, together with all Rents (subject to Article 4), and all rights of Borrower as landlord under the Leases;

(f) all permits, licenses, approvals, entitlements, development rights, zoning rights, building permits, certificates of occupancy and other governmental authorizations relating to the Property, and all rights of Borrower under any City of Charleston encroachment permit, license or agreement relating to the balcony encroachment described in Section 5.14;

(g) all contracts, subcontracts, purchase orders, warranties, guaranties, indemnities, claims, causes of action and rights of action relating to the construction, renovation, operation, maintenance, repair or insurance of the Property, including all of Borrower's right, title and interest in, to and under the GC Contract, the Plans, and all architect's and engineer's agreements relating to the Renovation;

(h) all deposits, reserves, escrow accounts and other funds now or hereafter held by or on behalf of Lender in connection with the Loan, including the Tax and Insurance Escrow, the Capital Replacement Reserve, the TI/LC Reserve and the Renovation Holdback, together with all interest accrued thereon (subject to Article 10);

(i) all insurance proceeds, including unearned premiums, and all condemnation awards, damages, awards of compensation and other payments arising from the damage, destruction, taking or impairment of the Property or any portion thereof or interest therein, and all rights of Borrower to make claims for any of the foregoing;

(j) all books and records (in any medium) relating to the Property or the Collateral, including tenant files, lease files, operating records, plans, specifications, surveys and environmental reports; and

(k) all Proceeds and products of any of the foregoing, and all additions, accessions, substitutions, replacements, renewals, improvements and betterments thereto.

3.2 Habendum. TO HAVE AND TO HOLD the Collateral, together with all rights, privileges and appurtenances thereto, unto Lender, its successors and assigns, in fee simple (as to the Land and improvements), forever, for the purposes and on the terms and conditions set forth in this Mortgage.

3.3 Security Agreement; Fixture Filing. This Mortgage constitutes a security agreement under the UCC with respect to all Collateral that constitutes personal

property or fixtures, and Borrower grants to Lender, as secured party, a security interest in all such Collateral. This Mortgage is also intended to be effective as a financing statement filed as a fixture filing covering fixtures, and for such purposes: (a) the names of the debtor and the secured party are set forth in Section 3.5; (b) the mailing address of the debtor is 88 Broad Street, Suite 200, Charleston, South Carolina 29401, and the mailing address of the secured party is 412 Whitaker Street, Savannah, Georgia 31401; (c) Borrower is the record owner of the Land; and (d) the Land is described on **Exhibit A** and is located in Charleston County, South Carolina.

3.4 Future Advances; Maximum Principal Amount. This Mortgage secures the Initial Advance and the Renovation Holdback, and all other Secured Obligations, whether advanced before, at or after the date hereof. This Mortgage is given to secure a debt that may be incurred in whole or in part by future advances, and the total principal amount of the debt secured hereby shall not exceed Fourteen Million Seven Hundred Fifty Thousand and No/100 Dollars ($14,750,000.00) at any one time outstanding, together with interest thereon, premiums, late charges, costs of collection, advances for the protection of the Collateral and all other Secured Obligations. All future advances shall have the same priority as the Initial Advance, and Lender shall be entitled to all of the benefits and protections afforded by applicable South Carolina law with respect to mortgages securing future advances. Borrower acknowledges that Lender has no obligation to make any advance except in accordance with the terms of the Loan Documents.

3.5 Debtor Information. Borrower’s exact legal name is “Palmetto Gateway Partners LLC,” and Borrower is a South Carolina limited liability company organized under the laws of the State of South Carolina, South Carolina Secretary of State Filing No. 2024-0011287, Employer Identification No. 84-6213750. Borrower’s organizational identification number is 2024-0011287. Borrower shall not change its name, entity type, jurisdiction of organization or organizational identification number, or its principal place of business, without giving Lender at least thirty (30) days’ prior written notice and taking all action reasonably requested by Lender to maintain the perfection and priority of Lender’s security interest.

3.6 After-Acquired Property; Accessions. All property of the types described in Section 3.1 that is acquired by Borrower after the date hereof (other than inventory sold in the ordinary course of business) shall be subject to the lien and security interest of this Mortgage immediately upon acquisition, without further act of the parties, and Borrower shall execute such further instruments as Lender may reasonably request to perfect Lender’s interest therein.

3.7 No Merger; Cross-Collateralization. The lien of this Mortgage shall not merge with any other lien, and no acquisition by Lender of any other interest in the Property, whether by foreclosure, deed in lieu, purchase or otherwise, shall merge or extinguish the lien of this Mortgage or affect the priority thereof. The Collateral secures all Secured Obligations and none of the Collateral shall be released except as expressly provided in this Mortgage or as approved by Lender in writing.

3.8 Recording; Further Assurances. Borrower shall, at Borrower's sole cost and expense, record this Mortgage in the RMC Office and file the UCC-1 financing statement with the South Carolina Secretary of State, and shall execute, deliver, record and file all further mortgages, deeds of trust, security agreements, financing statements (including continuation and amendment statements), fixture filings, affidavits, certificates and other instruments, and take all other action reasonably requested by Lender from time to time, to create, perfect, maintain, continue and preserve the lien and security interest granted hereby and the priority thereof. Borrower hereby authorizes Lender to file any such financing statements, including financing statements describing the Collateral as "all assets" or "all personal property of every kind and description," without Borrower's signature, and Borrower ratifies any such filing made prior to the date hereof.

3.9 Payment of Recording Taxes. Borrower shall pay all recording fees, documentary stamp taxes, mortgage recording taxes, intangible recording taxes and other charges payable in connection with the recording or filing of this Mortgage and the other Loan Documents, and shall pay any additional amounts payable upon the recording of any future advance or supplemental instrument.

ARTICLE 4 — ABSOLUTE ASSIGNMENT OF LEASES AND RENTS

4.1 Absolute and Present Assignment. Borrower hereby unconditionally, absolutely and presently grants, transfers, assigns and sets over to Lender all of Borrower's right, title and interest, whether now owned or hereafter acquired, in, to and under (a) all Leases, including each Lease identified on **Exhibit B** and all Leases hereafter entered into with respect to any portion of the Property, and (b) all Rents, together with all rights, powers, privileges, benefits and remedies of Borrower as landlord under the Leases, including the right to receive and collect all Rents and to enforce every provision of the Leases. This assignment is an absolute and present assignment and not an assignment as additional security only, and is effective immediately upon execution and recording of this Mortgage, without the necessity of any further act by Borrower. This assignment is made pursuant to and is intended to be effective under the South Carolina Uniform Assignment of Rents Act, as enacted in Title 29, Chapter 3 of the South Carolina Code of Laws. The assignment of Rents contained in this Article 4 is intended to satisfy, and is in lieu of, any separate Assignment of Leases and Rents contemplated by Section 5.2 of the Term Sheet.

4.2 License to Collect Prior to Default. Notwithstanding the absolute nature of the assignment in Section 4.1, Lender hereby grants to Borrower a revocable license to collect and use the Rents prior to the occurrence of an Event of Default, subject to the terms of the Loan Documents, including the requirements of Article 10 with respect to reserves and escrows. This license shall be automatically revoked upon the occurrence of an Event of Default, without any further act by Lender, and may be revoked by Lender at any time upon the occurrence of an Event of Default. The license granted in this Section 4.2 shall not constitute a waiver of Lender's rights under Section 4.1 or under the Assignment of Rents Act,

and shall not be construed as a release or reconveyance of the assignment of Rents.

4.3 Enforcement Upon Default. Upon the occurrence and during the continuance of an Event of Default, Lender may, in its sole discretion and without the necessity of obtaining a court order, appointing a receiver, entering into possession, or taking any other action, and without regard to the adequacy of the value of the Collateral:

(a) notify any or all tenants under the Leases, in writing, to pay all Rents directly to Lender or to a depository account designated by Lender, and each such tenant shall thereafter be obligated to make all payments directly to Lender or its designee, and shall be entitled to rely on such notice without inquiry and without liability to Borrower;

(b) collect, sue for, compromise, settle and give receipts for all Rents;

(c) enforce, at Borrower's expense, all terms of the Leases, including the obligation to pay Rents, and exercise all rights and remedies of the landlord thereunder, including the right to evict, terminate, renew, modify, accept surrender of, or otherwise deal with any Lease, without releasing any tenant or guarantor from liability;

(d) apply all Rents received to the Secured Obligations in such order as Lender may determine in accordance with Section 2.8, or, at Lender's election, hold the same as cash collateral for the Secured Obligations; and

(e) take any other action permitted under the Assignment of Rents Act or other applicable law.

4.4 Tenant Direction Letters; Estoppel Certificates; SNDAs. Concurrently with the execution of this Mortgage, Borrower shall execute and deliver to Lender, for delivery at Lender's election upon an Event of Default, tenant direction letters in form reasonably satisfactory to Lender, addressed to each tenant under the Leases, directing payment of Rents to Lender. Borrower shall use commercially reasonable efforts to obtain and deliver to Lender (a) a tenant estoppel certificate from each tenant in occupancy at the Property, in form reasonably satisfactory to Lender, and (b) a subordination, non-disturbance and attornment agreement ("**SNDA**") from each such tenant, in form reasonably satisfactory to Lender. Borrower shall use commercially reasonable efforts to obtain an estoppel certificate and an SNDA from each tenant with respect to each Lease entered into after the Closing Date. Borrower acknowledges that the lease with Lowcountry Provisions Inc. described on **Exhibit B** contains no assignment or subletting provision, no estoppel certificate obligation and no subordination provisions, and Borrower represents that, notwithstanding the absence of such provisions, Borrower has the full right and authority to assign all Rents under such Lease as provided herein and that the assignment of Rents is enforceable against such tenant upon notification in accordance with the Assignment of Rents Act. Borrower shall use commercially reasonable efforts to obtain, at the first renewal, extension or amendment of such Lease, an amendment adding customary assignment and estoppel provisions.

4.5 Subordination of Leases; Attornment. Each Lease now or hereafter existing is and shall be subject and subordinate in all respects to this Mortgage and to all advances made or to be made under the Note, to the full extent of all Rents and other sums secured hereby, unless Lender expressly agrees otherwise in a written SNDA or subordination agreement. Borrower shall not subordinate any Lease to any other mortgage, deed of trust or lien. Borrower shall, upon Lender's request following a foreclosure or conveyance in lieu of foreclosure, cause each tenant under a Lease to attorn to the purchaser or transferee at such foreclosure or conveyance and to recognize such purchaser or transferee as the landlord under its Lease for the balance of the term thereof; and Lender may, in its discretion, deliver a commercially reasonable non-disturbance agreement to any tenant. Any SNDA delivered by Lender may provide that the tenant's rights of first refusal, rights of first offer, options to purchase and other purchase rights (including the right of first refusal held by Harmon & Wren Design Studio LLC with respect to Bay 2) shall not be binding upon, or enforceable against, Lender or any purchaser at foreclosure or transferee in lieu of foreclosure.

4.6 Security Deposits. Borrower's interest in all security deposits and other tenant deposits now or hereafter held under the Leases is hereby assigned to Lender as part of the Collateral; provided, however, that Lender shall have no liability or responsibility with respect to any security deposit unless and until actually received by Lender, and Lender shall have no obligation to hold security deposits in a segregated account or to pay interest thereon except as required by applicable law or the applicable Lease. Borrower shall hold all security deposits in accordance with applicable law and the applicable Leases, and shall not apply any security deposit except as permitted by the applicable Lease and applicable law.

4.7 No Liability of Lender; Authority. Lender shall not be obligated to perform any obligation of Borrower under any Lease, to appear in or defend any action relating to any Lease, or to incur any expense in connection therewith, unless Lender elects in writing to do so. Borrower hereby irrevocably appoints Lender as its attorney-in-fact, effective upon the occurrence of an Event of Default, to execute and deliver in Borrower's name, place and stead all notices, instruments and agreements reasonably necessary to enforce the assignment of Rents and the Leases, which appointment is coupled with an interest and is irrevocable. The exercise of the rights granted in this Article 4 shall not make Lender a mortgagee in possession, shall not constitute an assumption by Lender of any obligation under any Lease, and shall not impair Lender's right to pursue any other remedy.

4.8 No Release of Borrower. Nothing in this Article 4 shall release Borrower from any liability or obligation under any Lease or the Loan Documents, and Borrower shall remain liable for the performance of all landlord obligations under the Leases and for the payment of the Secured Obligations.

ARTICLE 5 — REPRESENTATIONS AND WARRANTIES

Borrower represents and warrants to Lender as of the Closing Date and as of the date of each advance of Loan proceeds (except to the extent a representation is expressly stated to be made as of a specified date) that:

5.1 Organization, Good Standing and Authority. Borrower is a limited liability company duly organized, validly existing and in good standing under the laws of the State of South Carolina, and is duly qualified and authorized to transact business in each other jurisdiction in which such qualification is necessary. Borrower has all requisite power and authority to own, operate, renovate and mortgage the Property and to execute, deliver and perform this Mortgage and the other Loan Documents to which it is a party. The execution, delivery and performance by Borrower of the Loan Documents have been duly authorized by all necessary limited liability company action, including the written approval of Members holding not less than seventy-five percent (75%) of the outstanding membership interests in Borrower, as required by Section 3.2(ii) of the Operating Agreement for any financing in excess of $1,000,000, and such approval has not been rescinded, amended or superseded.

5.2 Enforceability; No Conflicts; Governmental Approvals. This Mortgage and each other Loan Document to which Borrower is a party constitutes the legal, valid and binding obligation of Borrower, enforceable against Borrower in accordance with its terms, except as enforceability may be limited by bankruptcy, insolvency, reorganization, moratorium or other laws affecting creditors' rights generally and by general principles of equity. The execution, delivery and performance of the Loan Documents by Borrower do not and will not (a) violate any provision of Borrower's organizational documents, (b) violate any applicable law, order or judgment, (c) conflict with, result in a breach of, or constitute a default under any agreement to which Borrower is a party or by which the Property is bound, or (d) except for the Permitted Exceptions and the liens created by the Loan Documents, result in the creation of any lien on the Property. No consent, approval, authorization or filing (other than the recording and filing contemplated by Section 3.8) is required in connection with the execution, delivery or performance of the Loan Documents.

5.3 Title to the Property. Borrower holds, and will hold as of the Closing Date, good and marketable fee simple title to the Property, free and clear of all liens, mortgages, security interests, encumbrances, easements and other title matters, except the Permitted Exceptions. This Mortgage constitutes and will constitute a valid first-priority mortgage lien on and security interest in the Property, subject only to the Permitted Exceptions, and, upon recording and filing as contemplated by Section 3.8, will be duly perfected. Borrower has not executed any other mortgage, deed of trust, security agreement, assignment of leases or rents, or financing statement affecting the Property other than as disclosed to Lender in writing. Borrower acknowledges that the title insurer has advised that the strip of land formerly known as Anson Lane was conveyed to Borrower's predecessor in title by quitclaim deed only, and Borrower represents that the transaction documents reflect an unbroken chain of vesting to Borrower and that no Person other than Borrower has any claim to such strip.

5.4 Leases and Rent Roll. Exhibit B sets forth a true, correct and complete rent roll and summary of all Leases affecting the Property as of the Closing Date, including the tenant name, premises, leasable area, lease commencement and expiration dates, base rent and escalations, security deposits, renewal options,

rights of first refusal or first offer, assignment and subletting provisions, and estoppel and SNDA obligations. Borrower has delivered to Lender true, correct and complete copies of each Lease. Except as disclosed on **Exhibit B**: (a) no Lease has been assigned, subleased, amended, modified, extended, renewed, terminated or surrendered; (b) no tenant is in default or has any outstanding claim or offset against Borrower; (c) no rent has been prepaid more than thirty (30) days in advance; (d) no tenant has any option to purchase, right of first refusal or right of first offer with respect to any portion of the Property, other than the right of first refusal in favor of Harmon & Wren Design Studio LLC with respect to Bay 2; (e) no tenant has any exclusive use or exclusivity right except the exclusive specialty grocery use in favor of Lowcountry Provisions Inc.; and (f) no Lease has been recorded or is the subject of a memorandum of lease of record.

5.5 Litigation and Condemnation. There is no action, suit, proceeding, arbitration, mediation, claim or investigation pending or, to Borrower's knowledge, threatened against Borrower, Guarantor or the Property, at law or in equity, before any court, arbitrator or governmental authority, that if adversely determined could reasonably be expected to have a material adverse effect on Borrower, Guarantor, the Property or the Collateral, or that questions the validity of any Loan Document. There is no pending or, to Borrower's knowledge, threatened condemnation, eminent domain, rezoning, special assessment or similar proceeding affecting any portion of the Property.

5.6 Environmental Matters; Land Use Restriction. Except as disclosed in the Phase I Environmental Site Assessment prepared by Clearfield Environmental Consulting LLC, Report No. CLR-2025-0119, dated January 28, 2025 (the "**Phase I ESA**"): (a) no Hazardous Materials are present at, on, under or migrating from the Property in violation of Environmental Laws or in a condition that requires reporting, investigation, remediation or the implementation of institutional controls; (b) Borrower has not received any notice of violation, request for information, demand or claim relating to Environmental Laws or Hazardous Materials; (c) there are no underground or above-ground storage tanks at the Property; and (d) the Property is not listed on any federal or state environmental database. Borrower acknowledges that the Property is subject to a Controlled Recognized Environmental Condition on Lot 7 arising from historical contamination at the adjoining property known as 518 King Street (SCDHEC Site ID SC-29403-0772), that SCDHEC issued a No Further Action letter dated August 12, 2021 subject to the continuing implementation of the institutional controls described in the LUR, and that the LUR is a Permitted Exception. Borrower further represents that (i) the current use of the ground floor of Lot 7 as a specialty grocery is consistent with the LUR, (ii) no residential use of the ground floor of Lot 7 has occurred or will occur, (iii) the vapor barrier beneath the ground-floor slab of Lot 7 is, to Borrower's knowledge, intact, and (iv) Borrower has not received any notice from SCDHEC of non-compliance with the LUR.

5.7 Zoning; Compliance with Laws. The Property is located in the GB (General Business) zoning district of the City of Charleston, South Carolina, and the current use and occupancy of the Property, and the Renovation as contemplated by the Plans, comply with all applicable zoning, building, fire, health, safety,

environmental, accessibility and other laws, ordinances, rules, regulations and orders ("**Applicable Laws**"), except to the extent that any non-compliance is being remedied as part of the Renovation in accordance with the Plans. Borrower has not received any notice of any violation of Applicable Laws affecting the Property that remains uncured.

5.8 Insurance. Borrower maintains, or as of the Closing Date will maintain, each policy of insurance required under Article 9, in the amounts and with the carriers required therein, and each such policy is in full force and effect with premiums paid.

5.9 Financial Statements; No Material Adverse Change. All financial statements, rent rolls, operating statements, budgets and other financial information furnished by or on behalf of Borrower or Guarantor to Lender in connection with the Loan (including the Renovation Budget and **Exhibit B**) are true, correct and complete in all material respects and fairly present the financial condition and results of operations of the applicable Person as of the dates and for the periods indicated. There has been no material adverse change in the financial condition, business, assets or operations of Borrower or Guarantor since the dates of such information.

5.10 Single-Purpose Entity; Organizational Documents. Borrower is, and since its formation has been, a single-purpose entity, and Borrower's organizational documents, as amended by the Operating Agreement Amendment (as defined in Section 7.6), contain, and at all times during the term of the Loan will contain, the single-purpose entity provisions required by Section 7.6. Borrower has delivered to Lender a true, correct and complete copy of its Operating Agreement, together with the Operating Agreement Amendment executed by all of its Members, and Borrower's organizational documents have not been amended or modified except as reflected in the copies delivered to Lender.

5.11 Renovation; Plans; Permits; GC Contract. Borrower has delivered to Lender true, correct and complete copies of the GC Contract, the Plans, and the Renovation Budget. The GC Contract is in full force and effect, has not been amended except as disclosed to Lender in writing, and no default or event that with notice or lapse of time would constitute a default exists thereunder. The Renovation Budget accurately and completely describes the costs of completing the Renovation, and Borrower is not aware of any cost of completing the Renovation in accordance with the Plans that is not included in the Renovation Budget (other than costs of the type identified in Section 8.3 as Borrower's responsibility). All building permits, demolition permits, certificates and approvals required to commence and complete the Renovation have been or, as of the commencement of the applicable portion of the work, will be obtained, other than the Board of Architectural Review approvals described in Section 8.7. The General Contractor is duly licensed in the State of South Carolina as a general contractor under License No. SC-GC-47921.

5.12 Impositions and Other Charges. All Impositions due and payable with respect to the Property for all periods prior to the Closing Date have been paid in

full, and there are no delinquent Impositions, tax liens, pending tax sales, or special assessments affecting the Property other than Impositions for the year 2025 that are not yet due and payable, as described in **Exhibit C**. Borrower has not received any notice of any pending or proposed tax reassessment, special assessment or reassessment appeal affecting the Property.

5.13 No Mechanics' Liens. No work has been performed, and no materials have been furnished, at the Property that could give rise to a mechanics' lien, materialmen's lien or similar lien, except work and materials that have been paid for in full and for which lien waivers have been delivered to Lender or the title insurer, and except the Renovation, which will be conducted and paid for in accordance with Article 8.

5.14 Encroachments, Easements and Boundary Matters. Except for (a) the encroachment of a decorative iron balcony extending approximately two and one-half (2.5) feet beyond the front façade of the building over the King Street public right-of-way, as shown on the ALTA/NSPS Land Title Survey prepared by Cartwright Land Surveying LLC dated January 15, 2025, and (b) the utility easement in favor of South Carolina Electric & Gas recorded in Deed Book 987 at Page 112 in the RMC Office, there are no encroachments, boundary line violations, easements, rights-of-way, party wall agreements or other matters affecting the Property that would be disclosed by an accurate survey, except as shown on such survey and on the plat recorded in Plat Book 41 at Page 218 in the RMC Office. Borrower acknowledges that the balcony encroachment is a Permitted Exception, that the title insurer has recommended that Lender obtain an endorsement affording affirmative coverage with respect to such encroachment, and that Borrower shall cooperate in obtaining any encroachment license, permit or agreement from the City of Charleston reasonably required to maintain such encroachment.

5.15 Solvency. Borrower is solvent, is able to pay its debts as they become due, and does not intend to, and does not believe that it will, incur debts or liabilities beyond its ability to pay as they mature. Borrower is not contemplating the filing of, and no other Person is contemplating the filing on behalf of Borrower of, any petition under the United States Bankruptcy Code or any other insolvency proceeding, and no receiver, trustee, custodian or similar official has been appointed for Borrower or any substantial part of its assets.

5.16 Survival; Restatement. All representations and warranties in this Article 5 shall survive the Closing Date and the making of each advance and shall be deemed remade as of the date of each advance of Loan proceeds (including each draw of the Renovation Holdback), except that any representation with respect to leases, financial statements or litigation shall be deemed to refer to the most recent information delivered to Lender pursuant to Article 12. Borrower shall promptly notify Lender in writing if any representation or warranty ceases to be true and correct in any material respect.

ARTICLE 6 — AFFIRMATIVE COVENANTS

From and after the Closing Date and until the Secured Obligations are paid and performed in full, Borrower shall, at Borrower's sole cost and expense:

6.1 Payment of Secured Obligations. Punctually pay and perform all Secured Obligations when due, in accordance with the Note, this Mortgage and the other Loan Documents.

6.2 Impositions. Pay, before the same become delinquent, all Impositions; provide Lender with evidence of payment upon request; and deposit with Lender the monthly escrow amounts required by Section 10.1. Borrower shall not suffer or permit any lien for Impositions to attach to the Property. If Borrower pays any Imposition that may lawfully be paid in installments over a period of years, Borrower may do so only after prior written notice to Lender. Borrower may contest in good faith, by appropriate proceedings diligently conducted and without risk of sale, forfeiture or loss of the Property, any Imposition, provided that Borrower shall deposit such security as Lender may reasonably require.

6.3 Insurance. Maintain, and cause each tenant under a Lease to the extent required by its Lease, at all times during the term of the Loan, the insurance required by Article 9, and deliver to Lender the evidence of insurance required by Section 9.7.

6.4 Maintenance, Repair and Replacement; No Waste. Maintain, repair, replace and keep the Property, including the Land, improvements, building systems, fixtures, common areas, landscaping, parking areas and appurtenances, in good order, condition and repair, and in a first-class condition consistent with the standards of comparable mixed-use commercial properties in the Charleston, South Carolina metropolitan area. Borrower shall promptly (a) complete any repairs or replacements to the Property required to keep it in such condition, whether or not covered by insurance, and (b) commence and diligently pursue the cure of any condition that violates any Applicable Law or that would otherwise impair the value or use of the Property. Borrower shall not commit or permit any waste of the Property or any portion thereof. All repairs, replacements and alterations shall be of substantially equal or better quality and value than the items replaced.

6.5 Compliance with Laws and Permits. Comply at all times with all Applicable Laws applicable to the Property, the Renovation and the conduct of Borrower's business, including all zoning, building, fire, life safety, health, environmental, historic preservation and accessibility laws, and maintain in full force and effect all permits, licenses, certificates of occupancy, approvals and governmental authorizations necessary for the ownership, operation, renovation and use of the Property. Borrower shall promptly deliver to Lender copies of any notice of violation, citation or order received from any governmental authority.

6.6 Environmental Compliance. Comply, and cause all tenants and occupants of the Property and all contractors performing work at the Property to comply, with

all Environmental Laws and with the LUR in accordance with Article 11, and perform and observe all covenants, conditions and restrictions of the LUR.

6.7 Leasing Covenants; Estoppels and SNDAs.

(a) Use commercially reasonable efforts to lease all vacant space at the Property at market rents and on terms consistent with those prevailing for comparable mixed-use commercial properties in the Charleston, South Carolina metropolitan area, and on terms reasonably acceptable to Lender, in compliance with Section 7.7.

(b) All new Leases and all amendments, modifications, extensions, renewals, terminations and surrenders of Leases shall be on Lender-approved forms, shall be subordinate to this Mortgage in accordance with Section 4.5, shall not contain any option to purchase, right of first refusal or right of first offer with respect to any portion of the Property (except as disclosed on **Exhibit B**), and shall require the tenant to deliver estoppel certificates and SNDAs upon request. Borrower shall deliver to Lender a copy of each new Lease and each amendment, modification, extension or renewal within ten (10) business days after execution, together with any lease guaranty, rent commencement notice and tenant work letter.

(c) Borrower shall use commercially reasonable efforts to obtain and deliver to Lender, within thirty (30) days after Lender's written request, a tenant estoppel certificate and an SNDA from each tenant under a Lease, and shall deliver such estoppel certificates from all tenants in occupancy as of the Closing Date no later than the Closing Date. Borrower acknowledges that delivery of an estoppel certificate and SNDA from Lowcountry Provisions Inc. is a condition to Lender's obligation to make the Initial Advance, that the Lease with Lowcountry Provisions Inc. does not itself require such delivery, and that Borrower shall use commercially reasonable efforts (without obligation to grant economic concessions) to obtain the same.

(d) Borrower shall not grant any exclusive use, exclusivity, co-tenancy, "go-dark," termination, cancellation or kick-out right, or any option to purchase, right of first refusal or right of first offer, without Lender's prior written consent in accordance with Section 7.7.

6.8 Books and Records; Inspection. Maintain complete and accurate books and records with respect to the Property and the Renovation in accordance with GAAP, and permit Lender and its agents, representatives, appraisers, engineers, environmental consultants and auditors to inspect the Property and Borrower's books and records at any reasonable time upon reasonable prior notice, subject to the rights of tenants under the Leases and to Borrower's reasonable health and safety requirements. Lender may conduct appraisals and property condition assessments at Borrower's expense not more than once per calendar year in the absence of an Event of Default, and at any time and as often as Lender deems appropriate during the continuance of an Event of Default.

6.9 Financial Reporting. Deliver to Lender the financial statements, rent rolls, operating statements, lease copies and other information required by Article 12, together with a compliance certificate as required by Section 12.5.

6.10 Reserves and Escrows. Fund and maintain the Tax and Insurance Escrow, the Capital Replacement Reserve and the TI/LC Reserve in accordance with Article 10, and apply all disbursements from such accounts for the purposes for which they were established.

6.11 Further Assurances; Estoppel Certificates to Lender. Execute, acknowledge and deliver to Lender such further instruments and take such further action as Lender may reasonably request to carry out the purposes of this Mortgage. Within fifteen (15) days after Lender's written request (and not more than twice in any calendar year in the absence of a Default), Borrower shall deliver to Lender a certificate certifying that (a) the Loan Documents are in full force and effect and have not been amended, (b) no Event of Default exists, and (c) such other matters as Lender may reasonably request.

6.12 Single-Purpose and Separateness Covenants. At all times during the term of the Loan, Borrower shall:

(a) engage in no business or activity other than the ownership, operation, renovation, leasing, management and disposition of the Property and activities incidental thereto;

(b) maintain its own separate books of account, financial records and bank accounts, separate and apart from those of any other Person;

(c) not commingle its funds or assets with those of any Affiliate, Member, manager or other Person;

(d) hold itself out to the public as a legal entity separate and distinct from any other Person, including its Members and Affiliates, and conduct its business in its own name, using its own stationery, invoices, checks and accounts;

(e) maintain adequate capitalization in light of its contemplated business operations, transactions and liabilities;

(f) pay its own liabilities from its own assets and not pay or guaranty the liabilities of any Affiliate;

(g) observe all limited liability company formalities and maintain an arms'-length relationship with its Affiliates;

(h) not guarantee or become obligated for the debts of any other Person;

(i) not acquire obligations or securities of its Members or Affiliates, and not pledge its assets for the benefit of any other Person except as contemplated by the Loan Documents;

(j) not incur any additional indebtedness, whether secured or unsecured, without Lender's prior written consent, in accordance with Section 7.1;

(k) not dissolve, liquidate, merge, consolidate or wind up its affairs, and not file or consent to any petition under the United States Bankruptcy Code or any

other insolvency proceeding, without the affirmative vote of the Independent Manager and Lender's prior written consent; and

(l) not amend, modify or waive any single-purpose entity provision of its organizational documents without Lender's prior written consent in each instance.

6.13 Management of the Property. Manage the Property in a commercially reasonable manner consistent with the standards described in Section 6.4, and not enter into, or permit any amendment to or termination of, any management agreement, leasing agreement or similar agreement affecting the Property without Lender's prior written consent. Any management agreement entered into with Lender's consent shall provide that Lender may terminate the agreement, without penalty or fee, upon Lender's succession to or acquisition of the Property by foreclosure, deed in lieu or otherwise.

6.14 Contracts, Warranties and Claims. Perform all of Borrower's obligations under the GC Contract, architect's agreements, maintenance contracts, equipment warranties and other contracts relating to the Property; enforce all warranties, guaranties and indemnities for the benefit of Lender; and not terminate, amend or waive any material right thereunder without Lender's prior written consent.

6.15 Defense of the Collateral; Lender's Right to Cure. Defend the Collateral against all claims and demands of all Persons, and appear in and defend any action or proceeding that may affect the Collateral, Lender's interest therein or the lien or priority of this Mortgage. If Borrower fails to perform any covenant or fails to pay any Imposition, insurance premium, mechanic's claim or other charge affecting the Collateral, or fails to comply with the LUR or any Environmental Law, Lender may (but shall not be obligated to), after five (5) Business Days' prior written notice to Borrower (or immediately if Lender reasonably determines that an emergency exists or that the Collateral or Lender's interest therein is at risk), pay, perform or cure the same, and all amounts so expended, together with interest at the Default Rate from the date of expenditure and all costs and expenses (including reasonable attorneys' fees), shall be Secured Obligations payable on demand and secured by this Mortgage.

6.16 Notices. Promptly, and in any event within five (5) Business Days, notify Lender in writing of (a) any Event of Default or any event that with notice or lapse of time, or both, would constitute an Event of Default; (b) any litigation, arbitration, governmental proceeding, citation, violation or order affecting Borrower, Guarantor or the Property that involves a claim in excess of $100,000 or that could materially and adversely affect the Property or the Collateral; (c) any fire or other casualty, condemnation or threatened condemnation affecting the Property; (d) any actual or threatened release of Hazardous Materials at the Property, any violation of the LUR, any inspection, investigation, notice of violation, order or correspondence from SCDHEC or any other environmental authority relating to the Property, and any breach, modification or termination of the LUR; (e) any material change in the ownership or management of Borrower or Guarantor; and (f) any default under the GC Contract or cessation of the Renovation for more than ten (10) consecutive days.

6.17 Completion of the Renovation. Complete the Renovation in accordance with the Plans, the Renovation Budget and Article 8, on or before the Substantial Completion Deadline, and obtain a certificate of occupancy (or equivalent) from the City of Charleston for the renovated portions of the Property.

6.18 Maintenance of Perfection. Take all action necessary to maintain the perfection, priority and enforceability of Lender's lien on and security interest in the Collateral and Lender's interest in the Leases and Rents, including the filing of continuation statements and the recording of any supplemental instruments.

6.19 Lender's Expenses. Reimburse Lender, on demand, for all reasonable out-of-pocket costs and expenses incurred by Lender in connection with the administration, monitoring, enforcement and protection of the Loan and the Collateral, including legal fees, construction inspection fees, appraisal and environmental review fees, and the cost of any protective advance, together with interest at the Default Rate if not reimbursed within ten (10) days after demand, all of which shall be Secured Obligations.

ARTICLE 7 — NEGATIVE COVENANTS; SINGLE-PURPOSE ENTITY

From and after the Closing Date and until the Secured Obligations are paid and performed in full, Borrower shall not, without Lender's prior written consent:

7.1 Indebtedness. Incur, create, assume, guarantee or permit to exist any indebtedness, whether secured or unsecured, direct or contingent, including any mezzanine loan, preferred equity investment or other financing arrangement, other than the Secured Obligations and trade payables incurred in the ordinary course of business and not more than ninety (90) days past due.

7.2 Liens. Create, incur, assume or permit to exist any mortgage, deed of trust, lien, pledge, security interest, charge, encumbrance, judgment lien, mechanics' or materialmen's lien, tax lien, or other lien or encumbrance on the Property or any other Collateral, or any portion thereof or interest therein, whether senior, pari passu or subordinate to this Mortgage, other than the lien of this Mortgage and the Permitted Exceptions.

7.3 Transfer Restrictions.

(a) Sell, convey, transfer, assign, mortgage, pledge, hypothecate, encumber or otherwise dispose of the Property or any portion thereof or interest therein, whether voluntarily or involuntarily, by operation of law or otherwise, including any easement, leasehold interest, license, right-of-way grant, dedication, subdivision, condominium conversion or air rights transfer, except Leases entered into in compliance with Section 6.7.

(b) Permit any transfer, sale, assignment, pledge, hypothecation or other disposition of any ownership or economic interest in Borrower or any interest therein exceeding ten percent (10%) individually or twenty-five percent (25%) in the aggregate, other than transfers among the existing Members of Borrower (Graydon Development Group LLC, Tidewater

Opportunity Fund II LP and Harborline Capital Advisors LLC) that are permitted under and consummated in accordance with the Operating Agreement and as to which Borrower has given Lender at least fifteen (15) days' prior written notice and such transferee has confirmed in writing that it is bound by the single-purpose entity provisions of Section 6.12.

(c) Permit any change in the Control of Borrower, Graydon Development Group LLC, Guarantor, or any other Person that Controls Borrower, whether by transfer of direct or indirect ownership interests, merger, consolidation, conversion, reorganization, sale of all or substantially all of the assets of any such Person, or the replacement, resignation or removal of the Independent Manager, whether or not such transaction constitutes a transfer of a membership interest in Borrower under the Operating Agreement. Borrower acknowledges that the Operating Agreement does not currently restrict indirect or upstream changes in the ownership, control or management of Borrower's Members and that this Section 7.3(c) is intended to capture such changes.

(d) Permit any transfer of any interest in the Property or in Borrower while an Event of Default exists, or in connection with any transaction intended to avoid the restrictions of this Section 7.3.

Any transfer in violation of this Section 7.3 shall be void ab initio at Lender's election, shall constitute an immediate Event of Default without notice or opportunity to cure in accordance with Section 14.1(g), and shall entitle Lender to exercise all remedies available under Article 14 and under applicable law.

7.4 Change in Use; Prohibition on Residential Conversion. Change the use of the Property, or any portion thereof, from mixed-use retail and office use consistent with the GB (General Business) zoning classification, or use or permit the use of the ground floor of Lot 7 (Tax Map No. 460-12-04-007, comprising Bay 1 at 520 King Street) for any residential purpose, dwelling, overnight occupancy or purpose that would violate the LUR, or take any action that would constitute a modification, termination or violation of the LUR.

7.5 Alterations and Demolition. Demolish, raze, materially alter, remove or add to any improvement on the Property, or remove any fixture, building system, equipment or personal property forming part of the Collateral (except replacement with property of substantially equal or better quality), except for (a) the Renovation in accordance with Article 8, (b) tenant improvements required under Leases approved by Lender or entered into in compliance with Section 6.7, and (c) ordinary repair and maintenance in accordance with Section 6.4.

7.6 Amendments to Organizational Documents; Single-Purpose Entity Provisions.

(a) Amend, modify, restate, waive, repeal or suspend any provision of Borrower's organizational documents, including the Operating Agreement, without Lender's prior written consent in each instance; provided that Borrower may, without Lender's consent, make amendments that do not adversely affect Lender or the Collateral and that do not affect any single-

purpose entity, separateness, independent manager, bankruptcy-remote or transfer restriction provision.

(b) Operate or permit its organizational documents to be operated in a manner inconsistent with any single-purpose entity provision. "**Operating Agreement Amendment**" means the amendment to the Operating Agreement, in form and substance reasonably satisfactory to Lender, executed by all three Members of Borrower (including Tidewater Opportunity Fund II LP, acting through its general partner Tidewater GP Holdings LLC, and Harborline Capital Advisors LLC), effective not later than the Closing Date, which adds and implements (i) the requirement of an Independent Manager whose affirmative vote is required before Borrower may institute or consent to any bankruptcy or insolvency proceeding, dissolve, liquidate, merge, consolidate or wind up its affairs, (ii) the separateness covenants described in Section 6.12, (iii) a single-purpose purpose clause restricting Borrower's business to the ownership, operation, renovation, leasing, management and financing of the Property and activities incidental thereto, (iv) a requirement that any amendment or modification of the foregoing provisions require unanimity of the Members and Lender's written consent, and (v) such other provisions as Lender may reasonably require to confirm that the restrictions in this Mortgage are binding on all Members. Borrower acknowledges that, as of the date of the Term Sheet, the Operating Agreement did not contain such provisions, and Borrower shall not make any representation inconsistent with this acknowledgment.

(c) Cause or permit Borrower to (i) have any assets other than those related to the Property, (ii) have any indebtedness other than as permitted by Section 7.1, (iii) be named as a direct or contingent beneficiary or loss payee on any insurance policy of any Affiliate, or (iv) identify Borrower as a division or part of any other Person.

7.7 Amendments and Terminations of Leases. Amend, modify, extend, renew, terminate, accept the surrender of, or waive any material right under any Lease, or consent to any assignment or sublease under any Lease, except that Borrower may, without Lender's consent, (a) take any such action with respect to a Lease if the action is required by the terms of the Lease or by applicable law, and (b) take any such action that does not reduce rent, shorten the term, increase landlord obligations or decrease tenant obligations, in each case subject to the restrictions in Section 6.7. Lender's prior written consent shall be required for (i) any new Lease or amendment for premises in excess of five thousand (5,000) square feet, (ii) any new Lease or renewal for a term in excess of five (5) years (including any renewal or extension options), (iii) any Lease containing a right of first refusal, right of first offer, option to purchase, exclusivity, co-tenancy, termination or kick-out right, and (iv) any termination, surrender or cancellation of a Lease prior to its stated expiration. Lender's consent shall not be unreasonably withheld, conditioned or delayed. Borrower shall deliver to Lender copies of all executed leases and lease amendments within ten (10) business days after execution, in accordance with Section 12.3(e).

7.8 Easements, Dedications, Subdivision and Restrictions. Grant any easement, license, right-of-way or encroachment agreement, dedicate any portion of the Property to any public or private use, subdivide the Property, record any declaration, covenant, condition or restriction affecting the Property, impose any restrictive covenant, or enter into any agreement with any adjoining owner, without Lender's prior written consent, which shall not be unreasonably withheld with respect to grants that do not materially impair the value, use, access or marketability of the Property; provided that Borrower shall not permit any action described in this Section 7.8 that could reasonably be expected to impair the priority of this Mortgage or the Collateral. Any such instrument to which Lender consents shall recite that it is subject and subordinate to this Mortgage.

7.9 Hazardous Materials. Cause or permit any Hazardous Materials to be brought upon, treated, kept, stored, disposed of, released or transported to, from or at the Property, or any activity that would violate any Environmental Law or the LUR, except for de minimis quantities of customary office, cleaning, maintenance and (in the case of the specialty grocery tenant) food-service supplies that are used, stored and disposed of in compliance with applicable Environmental Laws and the Leases; provided that no activity shall be permitted that would reasonably be expected to result in the reopening of SCDHEC Site ID SC-29403-0772, the impairment of the No Further Action status of the Property, or the imposition of any institutional control in addition to the LUR.

7.10 Affiliate Transactions. Enter into any transaction or agreement with any Affiliate of Borrower, Guarantor or any Member of Borrower, including any management, leasing, development or asset management agreement, except on arms'-length terms, disclosed in writing to Lender, and approved in writing by Lender.

7.11 Distributions; Payments to Members. Make any distribution, dividend, return of capital, loan repayment or other payment to any Member or Affiliate, or redeem or repurchase any membership interest, (a) during the continuance of an Event of Default, or (b) if, after giving effect to such payment, Borrower would fail to maintain the net worth or liquidity required by Section 12.2.

ARTICLE 8 — RENOVATION AND CONSTRUCTION

8.1 The Renovation Holdback. Lender shall hold the Renovation Holdback and shall disburse the same to Borrower from time to time in accordance with this Article 8 for the purpose of paying Renovation Costs (as defined in Section 8.2). Lender shall have no obligation to disburse any portion of the Renovation Holdback unless and until each applicable condition in Section 8.5 has been satisfied. The Renovation Holdback is a portion of the Loan and bears interest from the Closing Date regardless of whether it has been disbursed, in accordance with the Note.

8.2 Renovation Budget; Renovation Costs; Reallocations. "**Renovation Costs**" means all hard and soft costs of completing the Renovation in accordance with the Plans, the GC Contract and the Renovation Budget, including the cost of

construction, labor, materials, tenant improvement allowances, architects', engineers' and consultants' fees, permit and inspection fees, construction management fees, builder's risk and other insurance attributable to the Renovation, and the contingency set forth in the Renovation Budget. Borrower shall cause the Renovation to be completed in accordance with the Renovation Budget attached as **Exhibit D**. Borrower may reallocate amounts among line items of the Renovation Budget without Lender's consent, provided that (a) no reallocation increases the total Renovation Budget, (b) no reallocation increases the amount allocated to any line item by more than ten percent (10%) of such line item, (c) no reallocation decreases the contingent or soft-cost line items below the amounts shown on **Exhibit D**, and (d) Borrower delivers to Lender written notice of the reallocation within ten (10) business days. Any reallocation not satisfying the foregoing shall require Lender's prior written consent.

8.3 Borrower Equity; Cost Overruns. Borrower shall fund, from its own funds and not from Loan proceeds, the portion of the Renovation Costs not funded by the Renovation Holdback, being not less than Nine Hundred Thousand and No/100 Dollars ($900,000) (the "**Renovation Equity**"), together with all costs of the Renovation in excess of the Renovation Budget and all costs of completing the Renovation not funded by the Renovation Holdback. Borrower shall not be entitled to any reimbursement of the Renovation Equity from Loan proceeds. If at any time Lender reasonably determines that the undisbursed portion of the Renovation Holdback is insufficient to pay the remaining Renovation Costs, Borrower shall, within fifteen (15) days after Lender's written demand, deposit with Lender an amount equal to the deficiency, which amount shall be disbursed by Lender in accordance with this Article 8. Borrower shall fund its share of Renovation Costs such that at no time shall the aggregate amount disbursed from the Renovation Holdback exceed seventy-one and forty-three hundredths percent (71.43%) of the aggregate Renovation Costs incurred and certified to Lender as of such date (being the ratio of the Renovation Holdback, $2,250,000, to the Renovation Budget, $3,150,000).

8.4 Draw Request Procedure.

(a) Borrower may request a disbursement from the Renovation Holdback no more frequently than once per calendar month, by delivering to Lender a written draw request not less than ten (10) Business Days prior to the requested disbursement date.

(b) Each draw request shall be substantially in the form attached as **Exhibit E**, shall be signed by Borrower and certified by Borrower's architect of record, and shall include: (i) an AIA G702/G703 Application and Certificate for Payment detailing the work completed, the amounts previously paid, the amount currently requested and the percentage of completion; (ii) a schedule of the line items of the Renovation Budget to which the requested disbursement is to be applied and the remaining balance of each such line item; (iii) conditional lien waivers for the current draw and unconditional lien waivers for all prior draws from the General Contractor and each subcontractor performing work in an amount exceeding Twenty-Five

Thousand and No/100 Dollars ($25,000.00); (iv) a title date-down endorsement from the title insurer confirming that no intervening mechanics', materialmen's or other liens or encumbrances have been recorded against the Property since the date of this Mortgage or the most recent date-down endorsement, as applicable; (v) evidence of Lender's satisfactory inspection of the work in progress in accordance with Section 8.9; (vi) invoices or other evidence of the costs for which reimbursement is requested, to the extent reasonably requested by Lender; (vii) a certification that Borrower has funded its portion of Renovation Costs in accordance with Section 8.3; and (viii) such other information as Lender may reasonably request.

(c) Lender shall, within ten (10) Business Days after receipt of a complete and conforming draw request and satisfaction of the conditions in Section 8.5, disburse the requested amount, less the retainage required by Section 8.6, directly to Borrower or, at Lender's election, to the General Contractor, subcontractors, materialmen or other Persons entitled to payment, by joint check or otherwise.

8.5 Conditions to Each Disbursement. Lender's obligation to disburse any portion of the Renovation Holdback is subject to satisfaction of each of the following conditions, each in form and substance satisfactory to Lender:

(a) no Event of Default or event that with notice or lapse of time, or both, would constitute an Event of Default shall have occurred and be continuing;

(b) all representations and warranties in Article 5 shall be true and correct in all material respects;

(c) the Renovation shall be proceeding in accordance with the Plans and the Renovation Budget, and there shall exist no material defect, deficiency or departure from the Plans;

(d) each condition set forth in Section 8.4 shall have been satisfied and all documents required thereunder shall have been delivered to Lender;

(e) Borrower shall have funded the Renovation Equity in accordance with Section 8.3;

(f) no mechanics' or materialmen's lien shall have been filed against the Property and remain undischarged or unbonded, and the title insurer shall have issued the date-down endorsement required by Section 8.4(b)(iv);

(g) all building permits, Board of Architectural Review approvals (to the extent required for the work in question) and other governmental approvals required for the work shall have been obtained;

(h) if the work in question involves any penetration of, alteration to, or work within ten (10) feet of the ground-floor slab of Bay 1 on Lot 7, Borrower shall have delivered to Lender (i) evidence of written notice to SCDHEC as required by the LUR, (ii) a vapor barrier protection and restoration plan prepared by a licensed environmental professional reasonably acceptable to Lender, and (iii) a certification from such professional that the vapor barrier

has been inspected and, following the work, restored in accordance with the LUR; and

(i) Lender shall have received evidence that the undisbursed Renovation Holdback, together with Borrower's remaining unfunded Renovation Equity commitment, is sufficient to complete the Renovation in accordance with the Renovation Budget.

8.6 Retainage. Lender shall retain ten percent (10%) of each disbursement from the Renovation Holdback (the "**Retainage**") until Substantial Completion has been achieved in accordance with Section 8.11. Retainage shall be released in accordance with Section 8.15.

8.7 Plans and Specifications; Permits; Board of Architectural Review. The Renovation shall be performed in accordance with the Plans approved by Lender. Borrower shall not amend, modify or supplement the Plans in any manner that constitutes a Major Change (as defined in Section 8.8) without Lender's prior written consent. Borrower shall obtain and maintain in full force and effect all permits, licenses and approvals necessary for the Renovation, including any approval of the City of Charleston Board of Architectural Review applicable to the façade restoration and to the decorative iron balcony described in Section 5.14, and shall deliver copies thereof to Lender upon request.

8.8 GC Contract; Change Orders. Borrower has delivered to Lender a complete copy of the GC Contract, including all schedules, exhibits and amendments. Borrower shall not amend, modify, supplement, terminate or accept the assignment of the GC Contract, and shall not approve or enter into any change order, amendment or supplemental agreement under the GC Contract, without Lender's prior written consent if such action (a) increases the contract sum of the GC Contract or the Renovation Budget, (b) reduces the scope of the Renovation, (c) affects the structural, mechanical, electrical, plumbing, fire protection, elevator or façade systems, (d) affects the ground-floor slab of Bay 1 on Lot 7 or the vapor barrier beneath such slab, or (e) would reasonably be expected to delay Substantial Completion beyond the Substantial Completion Deadline (each, a "**Major Change**"). Borrower hereby assigns to Lender, as part of the Collateral, all of Borrower's right, title and interest in, to and under the GC Contract and the Plans, and shall cause the General Contractor and Borrower's architect to execute and deliver to Lender a consent to such assignment and collateral assignment in form reasonably satisfactory to Lender.

8.9 Inspections. Lender, and any third-party inspector retained by Lender (at Borrower's expense), may inspect the Property and the work in progress at any reasonable time upon reasonable prior notice, and Borrower shall provide access and such information as Lender or its inspector may request. Borrower shall cause the work to be corrected promptly if any inspection discloses defective work or a departure from the Plans. Borrower acknowledges that no inspection by Lender shall constitute a waiver of any default, an approval of any work, or an assumption of responsibility for the adequacy, legality or quality of the Renovation, and that Lender has no duty to inspect.

8.10 Mechanic’s Liens; Lien Waivers; Title Date-Downs. Borrower shall pay when due all costs of the Renovation and shall keep the Property free from mechanics’, materialmen’s and other liens. If any such lien is filed, Borrower shall, within thirty (30) days after notice thereof, cause the lien to be discharged of record or bonded over in a manner reasonably satisfactory to Lender and the title insurer. Borrower shall obtain unconditional lien waivers from the General Contractor and all subcontractors as a condition to each disbursement, and shall obtain a final title date-down endorsement and final lien waivers as a condition to the release of Retainage. Borrower shall not permit any stop notice, notice of nonpayment or similar claim to remain undischarged in a manner that could impair the Property or Lender’s lien.

8.11 Substantial Completion; Substantial Completion Deadline. Borrower shall achieve Substantial Completion of the Renovation on or before June 15, 2026, time being of the essence. Borrower shall notify Lender in writing not less than fifteen (15) days prior to the anticipated date of Substantial Completion, and shall deliver to Lender (a) a certificate of Substantial Completion from Borrower’s architect, (b) a copy of the certificate of occupancy (or equivalent) issued by the City of Charleston for the renovated portions of the Property, (c) a certification that the Renovation has been completed in accordance with the Plans and within the Renovation Budget, and (d) evidence that all costs of the Renovation have been paid or will be paid from the final disbursement. Failure to achieve Substantial Completion on or before the Substantial Completion Deadline shall constitute an Event of Default in accordance with Section 14.1(h) and shall entitle Lender to exercise its rights under the Completion Guaranty.

8.12 Failure to Complete; Deemed Completion. If Borrower fails to achieve Substantial Completion by the Substantial Completion Deadline, then, in addition to Lender’s other remedies, Lender may (but shall not be obligated to) assume responsibility for completing the Renovation, and all amounts expended by Lender in doing so, together with interest at the Default Rate, shall be Secured Obligations. Lender’s exercise of any right under this Section 8.12 shall not release Borrower or Guarantor from any obligation under the Loan Documents or the Completion Guaranty.

8.13 Coordination with the LUR and Vapor Barrier. Borrower shall cause the General Contractor, all subcontractors, Borrower’s architect and all other Persons performing work at the Property to be informed in writing of the existence and location of the vapor barrier beneath the ground-floor slab of Bay 1 on Lot 7, of the restrictions imposed by the LUR, and of the requirements of Section 11.3, prior to the commencement of any work at the Property. Borrower shall not permit any penetration, removal, alteration or compromise of the vapor barrier, and shall not permit any work affecting the Bay 1 slab, without (a) prior written notice to SCDHEC in accordance with the LUR, (b) Lender’s prior written consent, and (c) supervision and post-work inspection and certification by a licensed environmental professional reasonably acceptable to Lender, all at Borrower’s expense.

8.14 No Obligation to Complete; No Lender Liability. Lender shall have no obligation to complete the Renovation, to advance any amount in excess of the

Renovation Holdback, or to pay any cost of the Renovation in excess of the amounts available in the Renovation Holdback and Borrower's Renovation Equity. Lender's approval of the Plans, the Renovation Budget, the GC Contract or any draw request, and any inspection by Lender or its consultant, shall not constitute a representation or warranty by Lender as to the adequacy, sufficiency, quality, legality or feasibility of the Renovation or the Plans, and Lender shall have no liability to Borrower or any other Person with respect thereto. Borrower acknowledges that Borrower, and not Lender, is the owner of the Property and the party responsible for the Renovation.

8.15 Retainage Release; Final Disbursement. Upon Lender's receipt of satisfactory evidence of Substantial Completion, final unconditional lien waivers from the General Contractor and all subcontractors and materialmen, a final title date-down endorsement, the certificate of occupancy, and confirmation that the vapor barrier and all LUR requirements have been satisfied, Lender shall release the Retainage and make the final disbursement from the Renovation Holdback. Lender may withhold the Retainage or any portion thereof until completion of all punch list items reasonably acceptable to Lender.

8.16 Completion Guaranty. The obligations of Borrower under this Article 8 are guaranteed by Guarantor pursuant to the Completion Guaranty, which guarantees completion of the Renovation within the Renovation Budget and on or before the Substantial Completion Deadline. Borrower's failure to achieve Substantial Completion by the Substantial Completion Deadline shall constitute a failure under the Completion Guaranty and an Event of Default under this Mortgage.

8.17 No Waiver. Acceptance by Borrower of any disbursement, or Lender's approval of any draw request, inspection report or plan, shall not constitute a waiver of any condition, covenant or Event of Default, or an approval of any work not conforming to the Plans.

ARTICLE 9 — INSURANCE

9.1 Property Insurance. Borrower shall maintain at all times during the term of the Loan, at its sole expense, comprehensive all-risk (special form) property insurance covering the Property and all improvements, fixtures and betterments thereon, on a replacement cost basis without deduction for depreciation, with an agreed amount endorsement (waiver of coinsurance) and, if the Property is in a special flood hazard area, flood coverage as required by Section 9.3. Such insurance shall include coverage for fire, lightning, windstorm, hail, explosion, riot and civil commotion, vandalism, malicious mischief, sprinkler leakage, water damage, and such other perils as Lender may reasonably require, and shall include ordinance or law coverage, debris removal, and business income/rental value coverage in an amount not less than twelve (12) months of gross rents and operating expenses.

9.2 Commercial General Liability. Borrower shall maintain commercial general liability insurance written on an occurrence basis, with minimum limits of Two Million and No/100 Dollars ($2,000,000.00) per occurrence and Five Million and

No/100 Dollars ($5,000,000.00) in the aggregate, including coverage for premises liability, operations liability, products and completed operations, personal and advertising injury, and contractual liability (including the liability assumed under this Mortgage), naming Lender as an additional insured. Borrower shall also maintain automobile liability and employers' liability insurance in amounts reasonably satisfactory to Lender.

9.3 Flood Insurance. Borrower shall maintain flood insurance with respect to the improvements on the Property in an amount not less than Five Million and No/100 Dollars ($5,000,000.00), naming Lender as mortgagee and loss payee. Borrower acknowledges that the Property is located in FEMA Flood Zone X (an area of minimal flood hazard), that flood insurance is not required by federal regulation for properties in Zone X, and that Lender nevertheless requires such flood insurance as a condition of the Loan. Borrower shall deliver to Lender evidence of the flood zone determination and shall comply with all applicable requirements of the Flood Disaster Protection Act of 1973, as amended, and the regulations thereunder.

9.4 Builder's Risk Insurance. During the period from the Closing Date through Substantial Completion, Borrower shall maintain builder's risk insurance written on a completed value, all-risk basis in an amount not less than Three Million One Hundred Fifty Thousand and No/100 Dollars ($3,150,000.00), covering the Property and the Renovation against all risks of physical loss or damage during the course of construction, including coverage for materials in transit and stored off-site, and naming Lender as mortgagee and loss payee. Such coverage may be provided as part of the General Contractor's policy, provided that Lender's interests are protected by an appropriate endorsement and Lender approves the form.

9.5 Other Insurance. Borrower shall maintain (a) workers' compensation insurance in the amounts required by the laws of the State of South Carolina, covering all of Borrower's employees and, to the extent not covered by the General Contractor's or a subcontractor's policy, all persons engaged in the Renovation; (b) umbrella/excess liability insurance with limits of not less than Five Million and No/100 Dollars ($5,000,000.00) per occurrence and in the aggregate, providing excess coverage over commercial general liability, automobile liability and employers' liability; and (c) such other insurance, in such amounts and covering such risks, as Lender may reasonably require from time to time.

9.6 Carrier Ratings; Policy Terms. All insurance required under this Article 9 shall be issued by insurers licensed or authorized to do business in the State of South Carolina, having an A.M. Best rating of not less than A-:VII, and shall be written on forms reasonably acceptable to Lender. Each policy shall provide that it may not be canceled, non-renewed or materially modified without not less than thirty (30) days' prior written notice to Lender (ten (10) days' notice for nonpayment of premium), and shall contain a waiver of subrogation against Lender to the extent available and a mortgagee/loss payee clause in favor of Lender (or, for liability policies, an additional insured endorsement) on forms acceptable to Lender.

9.7 Evidence of Insurance. Borrower shall deliver to Lender, at or prior to the Closing Date and thereafter at least ten (10) days prior to each policy renewal, certificates of insurance and, upon Lender's request, copies of policies and endorsements, naming Lender as mortgagee, loss payee and/or additional insured as applicable. If Lender does not receive evidence of renewal coverage at least ten (10) days prior to expiration, Lender may, but shall not be obligated to, procure such coverage and the cost thereof shall be a Secured Obligation.

9.8 Application of Proceeds. All insurance proceeds shall be held and applied in accordance with Article 15 and Section 14.7. Borrower shall not settle or compromise any claim under any policy in excess of Two Hundred Fifty Thousand and No/100 Dollars ($250,000.00) without Lender's prior written consent. Lender shall be entitled to participate in any adjustment of any material claim.

9.9 Lender's Right to Insure. If Borrower fails to obtain or maintain any insurance required by this Article 9, Lender may (but shall not be obligated to) obtain such insurance and pay the premiums therefor, and the amount so paid, together with interest at the Default Rate, shall be a Secured Obligation payable on demand and secured by this Mortgage.

9.10 No Representation as to Adequacy. Lender's approval of any insurance policy, carrier or limit shall not constitute a representation that such insurance is adequate to protect Borrower's or Lender's interests, and Lender shall have no liability for the adequacy or sufficiency of any coverage.

ARTICLE 10 — RESERVES AND ESCROWS

10.1 Tax and Insurance Escrow. Borrower shall make monthly deposits with Lender, on each Payment Date, in an amount equal to one-twelfth (1/12) of the estimated annual Impositions and casualty and liability insurance premiums for the Property (for all three tax parcels described on **Exhibit A**), as reasonably determined by Lender, and shall deposit with Lender at the Closing Date any positive escrow balance or amount reasonably required by Lender to establish the escrow (the "**Tax and Insurance Escrow**"). Lender shall apply the Tax and Insurance Escrow toward the payment of Impositions and insurance premiums as they become due and payable. Lender may adjust the monthly escrow amount periodically to reflect actual or anticipated tax assessments and insurance premiums and shall give Borrower notice of any such adjustment; Borrower shall pay the adjusted amount commencing with the first Payment Date occurring after such notice. If the amount on deposit is insufficient to pay any Imposition or premium when due, Borrower shall pay the deficiency to Lender within fifteen (15) days after demand. Lender shall have no obligation to ascertain whether any Imposition has been paid, and shall have no liability for any penalty or interest arising out of the payment obligations of Borrower.

10.2 Capital Replacement Reserve. Borrower shall deposit with Lender, on each Payment Date, the amount of Six Hundred Forty-Five and 83/100 Dollars ($645.83), being Twenty-Five Cents ($0.25) per square foot per year multiplied by 31,000 square feet of gross building area, divided by twelve (12) months (the

"**Capital Replacement Reserve**"). Funds in the Capital Replacement Reserve shall be disbursed to Borrower upon Lender's approval of qualifying capital expenditures, which approval shall not be unreasonably withheld, conditioned or delayed and shall be subject to Lender's reasonable review and approval procedures, including receipt of invoices, paid receipts and lien waivers for the completed work.

10.3 Tenant Improvement and Leasing Commission Reserve. Borrower shall deposit with Lender at the Closing Date the sum of One Hundred Fifty Thousand and No/100 Dollars ($150,000.00) into a tenant improvement and leasing commission reserve account (the "**TI/LC Reserve**"). Disbursements from the TI/LC Reserve shall be subject to Lender's prior written approval, shall be made upon Lender's receipt of documentation reasonably acceptable to Lender, and shall be used exclusively for tenant improvement costs and leasing commissions incurred in connection with the leasing of vacant space at the Property. Upon any draw-down from the TI/LC Reserve, Borrower shall, within thirty (30) days after Lender's written demand, replenish the TI/LC Reserve to the full amount of One Hundred Fifty Thousand and No/100 Dollars ($150,000.00) from Borrower's own funds.

10.4 Renovation Holdback. The Renovation Holdback shall be held and disbursed in accordance with Article 8 and is not subject to this Article 10, except that Lender shall account for the Renovation Holdback in the same manner as the other reserves and escrows for record-keeping purposes.

10.5 General Reserve Provisions. All reserves and escrows shall be held by Lender in accounts maintained by Lender or by a depository institution acceptable to Lender, and may be commingled with other funds of Lender (including funds held for other borrowers). No interest shall be payable to Borrower on any reserve or escrow except as required by applicable law, and any interest actually earned shall be credited to the applicable account and applied as provided in this Article 10. All reserves and escrows shall be Collateral for the Secured Obligations and, at Lender's election upon an Event of Default, may be applied to the Secured Obligations in such order as Lender determines. Lender shall have no fiduciary obligation to Borrower with respect to any reserve or escrow, and any relationship created hereby is that of debtor and creditor. Lender may require additional reserves as a condition to any consent, waiver or amendment requested by Borrower.

10.6 Failure to Deposit. If Borrower fails to make any deposit required by this Article 10, Lender may, but shall not be obligated to, fund such deposit and the amount so funded shall be a Secured Obligation bearing interest at the Default Rate; provided that a failure to make any deposit required by this Article 10 that continues for five (5) Business Days after written notice from Lender shall constitute an Event of Default.

10.7 Return of Reserves. Upon the payment and performance in full of all Secured Obligations and the termination of Lender's commitment to make advances, Lender shall return to Borrower any balance remaining in the reserves

and escrows, less any amounts applied or required to be applied to the Secured Obligations.

10.8 Application to Secured Obligations. At Lender's election upon the occurrence of an Event of Default, Lender may apply any or all amounts held in the reserves and escrows to the Secured Obligations, whether or not then due.

ARTICLE 11 — ENVIRONMENTAL MATTERS AND THE LAND USE RESTRICTION

11.1 Environmental Covenants. Borrower shall, at its sole cost and expense: (a) comply, and cause all tenants, occupants, contractors and agents at the Property to comply, with all Environmental Laws and with the LUR; (b) not cause or permit any release of Hazardous Materials at, on, under or from the Property that requires reporting, investigation, remediation or the imposition of any institutional control under any Environmental Law; (c) not permit any Person to conduct any activity at the Property that would reasonably be expected to result in the reopening of SCDHEC Site ID SC-29403-0772 or the impairment of the No Further Action determination dated August 12, 2021; (d) maintain all institutional controls required by the LUR in full force and effect and in good working order; and (e) promptly deliver to Lender copies of all notices, orders, correspondence and reports received from or delivered to SCDHEC or any other environmental authority relating to the Property.

11.2 Compliance with the Land Use Restriction. Without limiting Section 11.1, Borrower shall (a) comply with, and cause all tenants and occupants of the Property to comply with, each covenant, condition and restriction contained in the LUR; (b) not use, and not permit any tenant or occupant to use, the ground floor of Lot 7 (Tax Map No. 460-12-04-007, comprising Bay 1 at 520 King Street) for residential purposes, overnight occupancy or any use prohibited by the LUR; (c) maintain, repair and keep in good condition and working order the vapor barrier system installed beneath the concrete floor slab of Bay 1 on Lot 7; (d) not penetrate, remove, alter, compromise or permit the penetration, removal, alteration or compromise of such vapor barrier without prior written approval of SCDHEC and Lender's prior written consent; (e) cause any renovation, construction, demolition or alteration activity affecting the floor slab of Bay 1 to include inspection and, if necessary, repair or replacement of the vapor barrier, with prior written notification to SCDHEC; (f) cause periodic inspections of the vapor barrier to be conducted by a licensed environmental professional not less frequently than annually during the term of the Loan and at any other time required by the LUR or requested by SCDHEC; (g) deliver to Lender, within thirty (30) days after the end of each calendar year, an officer's certificate substantially in the form attached as **Exhibit F** certifying compliance with the LUR and attaching the most recent inspection report; (h) not modify, amend, terminate, release or seek the modification, amendment, termination or release of the LUR without Lender's prior written consent; and (i) not permit the Property or any portion thereof to be used in a manner that would cause SCDHEC to reopen SCDHEC Site ID SC-29403-0772.

11.3 Notice Prior to Work Affecting Bay 1. Borrower shall notify Lender and SCDHEC in writing not less than fifteen (15) days prior to the commencement of any work that will penetrate, disturb or come within ten (10) feet of the ground-floor slab of Bay 1 on Lot 7, and shall furnish Lender with the vapor barrier protection plan, the identity and qualifications of the environmental professional engaged to supervise the work, and the post-work certification described in Section 8.5(h).

11.4 Environmental Indemnity; Recourse. Borrower and Guarantor have executed and delivered the Environmental Indemnity Agreement, which indemnifies Lender against all losses, liabilities, damages, costs and expenses (including reasonable attorneys' fees) arising from or relating to the presence, release or threatened release of Hazardous Materials at, on, under or from the Property, and from any violation of the LUR or any Environmental Law. The obligations under the Environmental Indemnity Agreement are full recourse obligations of Borrower and Guarantor, are not limited by Section 16.2 or by the value of the Collateral, and shall survive the repayment of the Loan, foreclosure, any conveyance in lieu of foreclosure, and the release of this Mortgage.

11.5 Lender's Right to Cure Environmental Matters. If Borrower fails to comply with this Article 11, or if Lender reasonably determines that immediate action is necessary to protect human health, the environment or the Collateral, Lender may, after such notice to Borrower as is reasonable under the circumstances (or without notice in an emergency), take such action as Lender deems necessary, including retaining environmental consultants, conducting investigations, implementing or maintaining institutional controls, communicating with SCDHEC, and performing remediation, and all costs and expenses so incurred, together with interest at the Default Rate, shall be Secured Obligations.

11.6 No Reliance; No Representation by Lender. Lender's acceptance of the Phase I ESA and any other environmental report shall not constitute a representation, warranty or acknowledgment by Lender as to the environmental condition of the Property, and Borrower acknowledges that Borrower has conducted its own investigation of the environmental condition of the Property and is not relying on Lender with respect thereto.

11.7 Survival. The obligations of Borrower under this Article 11 shall survive the repayment of the Loan, foreclosure, any conveyance in lieu of foreclosure and the release of this Mortgage, to the extent of any liability arising from conditions existing or acts occurring prior to such release.

11.8 Event of Default. Without limiting Section 14.1, the failure of Borrower to comply with Section 11.1 or Section 11.2, or the occurrence of any violation, modification or termination of the LUR, shall constitute an Event of Default (subject only to the cure period provided in Section 14.2(b), where applicable).

ARTICLE 12 — FINANCIAL COVENANTS AND REPORTING

12.1 Minimum Debt Service Coverage Ratio.

(a) Borrower shall maintain a DSCR of not less than 1.25 to 1.00 (the "**DSCR Covenant**"), tested as of the last day of each calendar quarter, commencing with the calendar quarter ending June 30, 2027 (being the first full calendar quarter ending after the twenty-fourth (24th) month following the Closing Date), and continuing quarterly thereafter. Each test shall be based on Net Operating Income for the trailing twelve (12) month period ending on the last day of the applicable calendar quarter and Annual Debt Service determined as of the last day of such quarter.

(b) Borrower shall deliver to Lender, concurrently with each quarterly test, a compliance certificate setting forth in reasonable detail the calculation of Net Operating Income, Annual Debt Service and DSCR, together with supporting operating statements and rent rolls.

(c) A failure to maintain the DSCR Covenant as of the end of any two (2) consecutive calendar quarters shall constitute an Event of Default in accordance with Section 14.1(i), subject to Borrower's right to cure in accordance with Section 12.6.

(d) Lender and Borrower acknowledge that the DSCR Covenant is measured against annual debt service calculated on a twenty-five (25) year amortization schedule and that the DSCR Covenant is not measured during the Interest-Only Period.

12.2 Net Worth and Liquidity Covenants.

(a) Borrower shall maintain at all times during the term of the Loan (i) a net worth of not less than One Million and No/100 Dollars ($1,000,000.00), and (ii) liquid assets (defined as cash, cash equivalents, marketable securities and unencumbered deposits held at federally insured depository institutions) of not less than Five Hundred Thousand and No/100 Dollars ($500,000.00).

(b) Guarantor shall maintain at all times during the term of the Loan (i) a net worth of not less than One Million and No/100 Dollars ($1,000,000.00), and (ii) liquid assets of not less than Five Hundred Thousand and No/100 Dollars ($500,000.00).

(c) Compliance with this Section 12.2 shall be tested annually, based on the financial statements and certificates delivered pursuant to Section 12.3.

12.3 Financial Reporting. Borrower shall deliver to Lender:

(a) Annual audited financial statements of Borrower, prepared in accordance with GAAP by an independent certified public accounting firm acceptable to Lender, within one hundred twenty (120) days after the end of Borrower's fiscal year;

(b) An annual personal financial statement of Guarantor, in form and detail reasonably satisfactory to Lender, within one hundred twenty (120) days after the end of each calendar year;

(c) Quarterly rent rolls for the Property, certified by Borrower as true, correct and complete, within thirty (30) days after the end of each calendar quarter;

(d) Annual property operating statements for the Property, including a detailed income and expense report and a comparison to the approved budget, within one hundred twenty (120) days after the end of Borrower's fiscal year;

(e) Copies of all Leases, lease amendments, lease guarantees and material lease correspondence executed or received by Borrower with respect to the Property, within ten (10) business days after execution or receipt; and

(f) Such other information regarding Borrower, Guarantor or the Property as Lender may reasonably request from time to time.

Borrower acknowledges that the Operating Agreement requires only annual financial statements "reviewed" (and not audited) by an independent certified public accountant, and that the reporting requirements of this Section 12.3 are more extensive than those in the Operating Agreement. Borrower shall cause the required audited financial statements to be prepared and delivered notwithstanding the Operating Agreement.

12.4 Compliance Certificate. Concurrently with the delivery of the annual financial statements and each quarterly rent roll, Borrower shall deliver to Lender a certificate of a manager or authorized officer of Borrower certifying that (a) the financial statements and rent rolls are true, correct and complete in all material respects, (b) no Event of Default exists or, if an Event of Default exists, specifying the nature and status thereof, and (c) Borrower is in compliance with Sections 12.1 and 12.2 (with the supporting calculations).

12.5 Lender's Audit Rights. Lender and its representatives may audit, examine and make copies of Borrower's books and records relating to the Property and the Renovation at any reasonable time upon reasonable prior notice, and may communicate directly with Borrower's accountants and, upon the occurrence of an Event of Default, with tenants. Borrower shall pay the reasonable costs of any such audit following an Event of Default.

12.6 DSCR Cure. Notwithstanding Section 14.1(i), Borrower may cure a failure to maintain the DSCR Covenant by paying to Lender, within thirty (30) days after Lender's written notice of such failure, an amount (the "**DSCR Cure Amount**") that, when applied to the outstanding principal balance of the Loan, would result in a DSCR of not less than 1.25 to 1.00 as of the end of the most recently ended calendar quarter, as reasonably determined by Lender and set forth in its notice. Any DSCR Cure Amount shall be applied to the outstanding principal balance of the Loan, shall not constitute a voluntary prepayment, shall not be subject to any prepayment premium, penalty or yield maintenance, and shall not relieve Borrower of the obligation to comply with the DSCR Covenant for any subsequent period. Borrower may exercise the cure right under this Section 12.6 not more than twice during the term of the Loan, and not more than once in any period of four (4) consecutive calendar quarters, and no cure shall be available with respect to any failure to maintain the DSCR Covenant occurring during the continuance of any other Event of Default.

12.7 Guarantor Financial Statements; No Change in Guarantor. Borrower shall cause Guarantor to deliver the financial statements and information required

by Section 12.3(b), and Borrower shall promptly notify Lender of any change in the ownership or control of Guarantor or of Graydon Development Group LLC.

ARTICLE 13 — PREPAYMENT

13.1 Lockout Period. The Loan may not be prepaid, in whole or in part, during the Lockout Period. No voluntary prepayment of principal shall be permitted during the Lockout Period. Any tender of payment in violation of this Section 13.1 is prohibited, and Lender may refuse to accept such tender. If Lender elects, in its sole discretion, to accept any such tender, the Yield Maintenance Premium shall be payable as though the prepayment had been made on the first day of the Yield Maintenance Period, in addition to all other amounts payable under the Loan Documents, and such acceptance shall not constitute a waiver of any Event of Default.

13.2 Yield Maintenance Period. From the expiration of the Lockout Period through the last day of the Yield Maintenance Period, the Loan may be prepaid in whole, but not in part, upon not less than thirty (30) days' prior written notice to Lender, and upon simultaneous payment of a yield maintenance premium (the "**Yield Maintenance Premium**") equal to the greater of:

(a) one percent (1.00%) of the outstanding principal balance of the Loan as of the date of prepayment; and

(b) the present value, discounted at the Treasury Rate, of the excess, if any, of (i) the interest that would have accrued on the principal amount being prepaid at the interest rate in effect under the Note on the date of prepayment (after giving effect to the SOFR Floor) for the period from the date of prepayment through the last day of the Yield Maintenance Period, over (ii) the interest that would accrue on such principal amount at a rate per annum equal to the Treasury Rate plus fifty (50) basis points (0.50%) for such period.

The present value described in clause (b) shall be calculated using monthly discounting, with each month's interest differential discounted from the last day of the applicable month to the date of prepayment, and shall in no event be less than zero. If the date of prepayment is not the first day of a month, the interest differential for the month in which the prepayment occurs shall be prorated on the basis of the actual number of days remaining in such month. The Yield Maintenance Premium shall be determined by Lender in good faith, and Lender's written calculation, absent manifest error, shall be conclusive and binding on Borrower.

13.3 Open Prepayment Period. During the final twelve (12) months of the term of the Loan (being from and after April 15, 2029 through the Maturity Date), the Loan may be prepaid in whole or in part, at any time and from time to time, without payment of any prepayment premium, penalty or yield maintenance amount, upon not less than fifteen (15) days' prior written notice to Lender.

13.4 Notice; Conditions. Each notice of prepayment shall be irrevocable and shall specify the proposed prepayment date and amount. No prepayment shall be effective unless and until (a) all accrued and unpaid interest, all late charges, all prepayment premiums or yield maintenance amounts due and all other Secured Obligations owing on the prepayment date are paid in full, and (b) Lender has received the notice required by this Article 13. Any partial prepayment permitted under Section 13.3 shall be applied to the outstanding principal balance in inverse order of maturity and shall not reduce or postpone any scheduled payment of principal or interest, and the regularly scheduled payments shall continue in effect.

13.5 Involuntary Prepayments. Any prepayment of the Loan resulting from the application of insurance proceeds or condemnation awards under Article 15, or from Lender's application of any reserve, escrow or other Collateral, shall be applied at par without any prepayment premium, penalty or yield maintenance amount.

13.6 Acceleration Following an Event of Default. The acceleration of the maturity of the Loan following an Event of Default is not a voluntary prepayment; however, the Yield Maintenance Premium that would have been payable under Section 13.2 had Borrower prepaid the Loan in full on the date of acceleration shall be due and payable as part of the Secured Obligations, together with interest at the Default Rate and all other amounts owing under the Loan Documents.

13.7 No Other Prepayments. Except as expressly provided in this Article 13 and in Article 15, Borrower shall not prepay the Loan in whole or in part, and no prepayment shall be made from the proceeds of any subordinate financing.

ARTICLE 14 — EVENTS OF DEFAULT AND REMEDIES

14.1 Events of Default. Each of the following shall constitute an Event of Default under this Mortgage and the other Loan Documents:

(a) the failure of Borrower to pay any principal, interest, late charge, prepayment premium or any other amount due under the Loan Documents on or before the date when due, subject to the cure period in Section 14.2(a);

(b) the breach by Borrower of any covenant, agreement or obligation contained in this Mortgage or any other Loan Document, subject to the cure periods in Section 14.2;

(c) any representation or warranty made by Borrower or Guarantor in this Mortgage, any other Loan Document, or in any certificate, report or other document furnished in connection with the Loan, proves to have been false, misleading or inaccurate in any material respect when made or deemed made;

(d) the filing by or against Borrower or Guarantor of any petition under the United States Bankruptcy Code or any other insolvency, receivership, reorganization, arrangement, liquidation or similar proceeding, or the appointment of a receiver, trustee, custodian, sequestrator or similar official

for Borrower, Guarantor or any substantial part of the property or assets of either, or any assignment for the benefit of creditors by Borrower or Guarantor, or any admission by Borrower or Guarantor of its inability to pay its debts generally as they become due, or any action by Borrower or Guarantor to authorize any of the foregoing;

(e) a default by Borrower or Guarantor under any other indebtedness for borrowed money in an amount exceeding Two Hundred Fifty Thousand and No/100 Dollars ($250,000.00), individually or in the aggregate, which default is not cured within any applicable cure or grace period;

(f) the failure of Borrower to maintain any insurance required by Article 9, subject to the cure period in Section 14.2(d);

(g) any violation of the transfer restrictions set forth in Section 7.3;

(h) the failure of Borrower to achieve Substantial Completion of the Renovation on or before the Substantial Completion Deadline;

(i) the DSCR falling below 1.25 to 1.00 for two (2) consecutive calendar quarters following the commencement of DSCR testing under Section 12.1, without cure in accordance with Section 12.6;

(j) any breach of the single-purpose entity or separateness covenants set forth in Section 6.12 or Section 7.6, or any amendment, modification or waiver of any single-purpose entity provision of Borrower’s organizational documents in violation of Section 7.6;

(k) a material adverse change in the financial condition, business, assets or operations of Borrower or Guarantor that, in Lender’s reasonable judgment, materially impairs the ability of Borrower to perform its obligations under the Loan Documents or of Guarantor to perform its obligations under the Guaranty;

(l) the failure of Borrower to comply with Article 11, or the modification, amendment, termination, release or violation of the LUR, or the receipt by Borrower or Lender of any notice from SCDHEC that SCDHEC Site ID SC-29403-0772 has been or may be reopened, or that the LUR has been or may be violated, modified or terminated;

(m) the occurrence of any default or event of default under any other Loan Document (including the Guaranty, the Completion Guaranty, the Interest Shortfall Guaranty and the Environmental Indemnity Agreement), after the expiration of any applicable cure period thereunder; or

(n) the occurrence of any other event or condition that constitutes an Event of Default under any other Loan Document.

14.2 Cure Periods. The following cure periods shall apply to the Events of Default described in Section 14.1:

(a) **Payment Defaults.** Five (5) Business Days after the date on which payment was due. The accrual of late charges under Section 2.6 and of interest at the Default Rate shall not be affected by the existence of this cure period.

(b) **Non-Monetary Defaults.** Thirty (30) calendar days after written notice from Lender to Borrower of the default; provided that if the default is of a nature that it cannot reasonably be cured within thirty (30) calendar days and Borrower has commenced and is diligently pursuing the cure, the cure period shall be extended for an additional period not to exceed sixty (60) calendar days (for a total cure period not to exceed ninety (90) calendar days), and provided further that no such extension shall apply if the failure to cure would reasonably be expected to result in the loss, forfeiture or material impairment of the Collateral or of Lender's lien or priority.

(c) **Single-Purpose Entity and Transfer Defaults.** No cure period. Any breach of Section 6.12, Section 7.3 or Section 7.6 shall constitute an immediate Event of Default without notice or opportunity to cure.

(d) **Insurance Defaults.** Ten (10) days after written notice from Lender to Borrower.

(e) **Land Use Restriction Defaults.** Ten (10) Business Days after written notice from Lender to Borrower, unless (i) SCDHEC has issued a notice of violation, order or directive with respect to the LUR, or (ii) the violation is not capable of being cured, in which case the Event of Default shall be immediate.

14.3 Remedies Upon Default. Upon the occurrence and during the continuance of an Event of Default, Lender may, in addition to all other rights and remedies available at law or in equity, exercise any one or more of the following remedies, cumulatively and without notice or demand (all of which are hereby waived to the fullest extent permitted by applicable law):

(a) declare the entire outstanding principal balance of the Loan, together with all accrued and unpaid interest and all other Secured Obligations, immediately due and payable, whereupon the same shall become immediately due and payable without presentment, demand, protest or further notice of any kind;

(b) enforce this Mortgage and foreclose the lien hereof in accordance with Section 14.4;

(c) exercise all rights and remedies with respect to the Leases and Rents under Article 4, and apply for the appointment of a receiver under Section 14.5;

(d) exercise all rights and remedies of a secured party under the UCC, including the right to take possession of the Collateral, to require Borrower to assemble the Collateral and make it available to Lender at a place designated by Lender, and to sell, lease or otherwise dispose of the Collateral, at public or private sale, with or without notice (Borrower acknowledging that ten (10) days' notice of any such sale is commercially reasonable);

(e) enter upon and take possession of the Property, and manage, operate, maintain, repair, renovate and lease the same, and collect the Rents;

(f) exercise all rights of Borrower under the GC Contract, the Plans, the Leases, the permits and the warranties, and complete or cause the completion of the Renovation;

(g) apply any or all reserves, escrows and other Collateral (including insurance proceeds and condemnation awards) to the Secured Obligations;

(h) recover judgment against Borrower for the Secured Obligations, to the extent provided in Section 16.2, and enforce any judgment against the Collateral;

(i) exercise its rights under the Guaranty, the Completion Guaranty, the Interest Shortfall Guaranty and the Environmental Indemnity Agreement; and

(j) exercise any other right or remedy available under the Loan Documents or applicable law.

14.4 Judicial Foreclosure; No Power of Sale. Upon the occurrence of an Event of Default, Lender may foreclose this Mortgage in accordance with the laws of the State of South Carolina by an action in the Court of Common Pleas for Charleston County, South Carolina (or in any other court of competent jurisdiction), for the foreclosure and sale of the Property and the other Collateral, or for the enforcement of any of Lender's rights hereunder. Borrower acknowledges that the State of South Carolina is a judicial foreclosure jurisdiction and that this Mortgage does not, and shall not be construed to, grant Lender any power of sale exercisable without judicial proceedings. In any foreclosure action, Lender shall be entitled to a judgment for the Secured Obligations, for the sale of the Property and the other Collateral, for the appointment of a receiver, for its costs and expenses (including reasonable attorneys' fees and costs of title), and for a deficiency judgment to the extent permitted by applicable law. Borrower waives, to the fullest extent permitted by applicable law, any right to require Lender to marshal assets or to pursue any particular remedy or any particular portion of the Collateral before pursuing any other remedy or portion. Nothing in this Section 14.4 or elsewhere in this Mortgage shall constitute a waiver of any right of redemption or statutory appraisal right that may not be waived under applicable law, and Lender's rights in respect of any deficiency shall be subject to Borrower's statutory appraisal rights under the laws of the State of South Carolina.

14.5 Receiver. Upon the occurrence of an Event of Default, Lender shall be entitled, as a matter of right and without notice to Borrower or any other Person and without regard to the adequacy of the security for the Secured Obligations, to the appointment of a receiver of the Property and the Rents (including rents accrued and unpaid and rents thereafter accruing) in any action to enforce this Mortgage or in any other proceeding. Any receiver so appointed shall have all powers necessary to manage, operate, maintain, repair, lease and otherwise deal with the Property, including the power to collect the Rents directly from tenants, and Borrower irrevocably consents to such appointment. The appointment of a receiver shall not impair or affect Lender's right to pursue foreclosure or any other remedy.

14.6 Power of Attorney. Borrower hereby irrevocably appoints Lender, effective upon the occurrence of an Event of Default, as its attorney-in-fact, with full power of substitution, to (a) notify tenants and collect the Rents, (b) complete the Renovation and deal with the General Contractor, subcontractors, architects and governmental authorities, (c) execute and deliver leases, amendments, notices, receipts, releases, lien waivers and other instruments with respect to the Property, (d) take any action required to comply with or cure any violation of the LUR or any Environmental Law, and (e) take any other action Lender deems necessary or appropriate to protect the Collateral and the Secured Obligations. This appointment is coupled with an interest and is irrevocable.

14.7 Application of Proceeds. All amounts received by Lender upon any sale or other disposition of the Collateral, and all Rents and other amounts received following an Event of Default, shall be applied in the following order: first, to the payment of all costs and expenses of the sale or enforcement, including reasonable attorneys' fees, court costs and title charges; second, to the payment of any protective advances made by Lender; third, to accrued and unpaid interest (including interest at the Default Rate), late charges and premiums; fourth, to the outstanding principal balance of the Loan; and fifth, to any other Secured Obligations, with any surplus paid to Borrower or to whomsoever may be lawfully entitled thereto, subject to applicable law.

14.8 Deficiency. If the proceeds of any foreclosure sale or other disposition of the Collateral are insufficient to pay the Secured Obligations in full, Borrower shall be liable for the deficiency only to the extent provided in Section 16.2, and Lender shall be entitled to a deficiency judgment to the extent permitted by applicable law, subject to Borrower's statutory appraisal rights.

14.9 No Waiver; No Notice. No failure or delay by Lender in exercising any right, power or remedy shall operate as a waiver thereof, and no single or partial exercise of any right, power or remedy shall preclude any other or further exercise thereof. Lender may exercise any remedy without prior notice or demand except as expressly required by this Mortgage or by applicable law, and Borrower waives presentment, demand for payment, protest, notice of dishonor, notice of nonpayment, notice of acceleration and notice of intent to accelerate, to the fullest extent permitted by applicable law.

14.10 Lender's Right to Perform. If Borrower fails to perform any obligation under this Mortgage, Lender may (but shall not be obligated to) perform such obligation, and any amounts expended by Lender shall be Secured Obligations bearing interest at the Default Rate, payable on demand and secured by this Mortgage, and shall not constitute a waiver of the underlying Event of Default.

14.11 Remedies Cumulative. No remedy conferred upon Lender is intended to be exclusive of any other remedy, and each and every remedy shall be cumulative and in addition to every other remedy given hereunder, now or hereafter existing at law, in equity, by statute or otherwise.

14.12 Waiver of Certain Defenses. To the fullest extent permitted by applicable law, Borrower waives (a) any defense based on the statute of limitations, (b) any

defense based on the doctrine of election of remedies, (c) any right to assert against Lender any claim, defense or setoff that Borrower may have against any other Person, and (d) any right to require Lender to proceed against any other Person or any other collateral. Nothing in this Section 14.12 shall limit any defense or right that may not be waived under applicable law.

ARTICLE 15 — CASUALTY AND CONDEMNATION

15.1 Notice. Borrower shall give Lender prompt written notice of any fire or other casualty affecting the Property and of any actual or threatened condemnation, eminent domain proceeding, taking or conveyance in lieu thereof affecting the Property or any portion thereof or any easement or right-of-way therein.

15.2 Casualty. Upon any casualty, Borrower shall promptly commence and diligently pursue the adjustment of the insurance claim and, subject to this Section 15.2, the restoration of the Property. Lender shall have the right to participate in the adjustment of any claim in excess of Two Hundred Fifty Thousand and No/100 Dollars ($250,000.00). If the casualty loss is less than Five Hundred Thousand and No/100 Dollars ($500,000.00), no Event of Default exists, and the insurance proceeds are sufficient to complete the restoration, Borrower may apply the proceeds to the restoration of the Property in accordance with plans approved by Lender. If the casualty loss equals or exceeds Five Hundred Thousand and No/100 Dollars ($500,000.00), or if an Event of Default exists, or if the proceeds are insufficient to complete the restoration, or if the restoration cannot reasonably be completed within twelve (12) months after the casualty, Lender may elect, in its sole discretion, either (a) to permit Borrower to restore the Property subject to such conditions as Lender may reasonably impose, including the deposit of the proceeds into a Lender-controlled escrow account and the satisfaction of the conditions set forth in Section 15.4, or (b) to apply the insurance proceeds to the Secured Obligations in accordance with Section 15.5.

15.3 Condemnation. Upon any taking or threatened taking, Lender may elect, in its sole discretion, either (a) to permit Borrower to restore the remaining Property (to the extent restoration is reasonably practicable) and to apply the condemnation award to such restoration subject to the conditions in Section 15.4, or (b) to apply the condemnation award to the Secured Obligations in accordance with Section 15.5. Borrower shall not settle, compromise or agree to any award without Lender’s prior written consent if the award exceeds Two Hundred Fifty Thousand and No/100 Dollars ($250,000.00).

15.4 Conditions to Restoration. As a condition to any restoration with insurance proceeds or condemnation awards, (a) no Event of Default shall exist; (b) the restoration shall be completed in accordance with plans approved by Lender, in compliance with all Applicable Laws and in a workmanlike manner, and shall restore the Property to a condition at least equal to its condition immediately prior to the casualty or taking; (c) the proceeds, together with any additional amounts deposited by Borrower, shall be sufficient to complete the restoration; (d) if the restoration involves any work affecting the ground-floor slab of Bay 1 on Lot 7, the requirements of Sections 8.13 and 11.3 shall be satisfied; and (e) Borrower shall

have delivered to Lender such architect's certificates, contracts, lien waivers and title date-down endorsements as Lender may reasonably require. All proceeds held by Lender for restoration shall be disbursed in accordance with Article 8, with appropriate adjustments to reflect the scope of the restoration work.

15.5 Application of Proceeds to the Secured Obligations. Any insurance proceeds or condemnation awards that Lender elects to apply to the Secured Obligations shall be applied at par, without any prepayment premium, penalty or yield maintenance amount, in the order set forth in Section 14.7, and shall be applied first to accrued interest, then to principal, and shall not postpone or reduce any scheduled payment.

15.6 Failure to Restore. If Borrower fails to commence and diligently pursue any restoration to which Lender has consented, or fails to complete such restoration within the period approved by Lender, Lender may undertake or complete the restoration, and all amounts expended by Lender, together with interest at the Default Rate, shall be Secured Obligations.

ARTICLE 16 — GUARANTOR; NON-RECOURSE; LIMITATION OF LIABILITY

16.1 Guaranty. The obligations of Borrower under this Mortgage and the other Loan Documents are guaranteed by Guarantor pursuant to the Guaranty (including the non-recourse carve-out guaranty), the Completion Guaranty and the Interest Shortfall Guaranty, and are further supported by the Environmental Indemnity Agreement. Lender may proceed against Guarantor under the Guaranty without first proceeding against Borrower, the Property or any other Collateral, and without any obligation to exhaust any remedy.

16.2 Limitation of Liability; Non-Recourse. Except as provided in Section 16.3 and in the Environmental Indemnity Agreement, Lender shall look solely to the Collateral for the payment of the Secured Obligations, and no Member of Borrower, and no manager, officer, employee or Affiliate of Borrower or of any Member, shall have any personal liability for the payment or performance of the Secured Obligations. Nothing in this Section 16.2 shall (a) limit the liability of Guarantor under the Guaranty, the Completion Guaranty, the Interest Shortfall Guaranty or the Environmental Indemnity Agreement, (b) constitute a release of Borrower from any obligation under the Loan Documents, (c) limit the liability of any Person for its own fraud, misrepresentation or willful misconduct, or (d) limit Lender's right to collect the Secured Obligations from the Collateral and from any Person that has expressly assumed the obligations of Borrower in writing.

16.3 Recourse Carve-Outs. Notwithstanding Section 16.2, Guarantor shall be fully and personally liable for the entire outstanding amount of the Secured Obligations upon the occurrence of any of the following (collectively, the "**Carve-Out Events**"), whether or not caused by or within the control of Borrower or Guarantor:

(a) fraud, intentional misrepresentation or willful misconduct by Borrower or Guarantor, or any of their respective agents, in connection with the Loan or the Property;

(b) misapplication or misappropriation of Rents, security deposits, insurance proceeds, condemnation awards or any reserve or escrow held by or on behalf of Lender;

(c) the voluntary filing of a petition in bankruptcy or any other insolvency proceeding by or on behalf of Borrower, or Borrower's consent to the appointment of a receiver or to the entry of an order for relief in any involuntary proceeding, or Borrower's cooperation with any Person in causing any such filing, consent or order;

(d) environmental liability arising from or relating to the acts or omissions of Borrower, Guarantor or their respective agents with respect to Hazardous Materials at the Property, and any violation of the LUR, in each case to the extent provided in the Environmental Indemnity Agreement and this Article 16;

(e) any violation of the transfer restrictions set forth in Section 7.3;

(f) the failure of Borrower to obtain or maintain insurance required by Article 9 following Lender's written notice and the expiration of the cure period in Section 14.2(d), to the extent of any loss not covered as a result thereof;

(g) the failure of Borrower to comply with Section 7.2 or Section 7.3 resulting in the creation of a lien or encumbrance senior to or pari passu with this Mortgage;

(h) the failure of Borrower to comply with the single-purpose entity and separateness covenants in Section 6.12 or Section 7.6, if such failure results in the substantive consolidation of Borrower with any other Person in any bankruptcy or insolvency proceeding;

(i) Borrower's assertion in any proceeding that any Loan Document is not a valid, binding and enforceable obligation of Borrower; or

(j) Borrower's failure to complete the Renovation in accordance with Article 8, to the extent provided in the Completion Guaranty.

16.4 Environmental Indemnity Not Limited. The obligations of Borrower and Guarantor under the Environmental Indemnity Agreement and Article 11 are full recourse obligations and are not limited or affected by Section 16.2, by the value or sufficiency of the Collateral, by any foreclosure, or by the release of this Mortgage.

16.5 Guarantor Acknowledgments. Guarantor has executed this Mortgage solely for purposes of acknowledging the provisions of this Article 16 and the provisions of Article 11, and such acknowledgment shall not be construed as imposing on Guarantor any obligation other than those set forth in the Guaranty, the Completion Guaranty, the Interest Shortfall Guaranty and the Environmental Indemnity Agreement.

16.6 Interest Shortfall Guaranty. Without limiting the foregoing, the Interest Shortfall Guaranty guarantees payment of any shortfall in monthly interest payments due under the Note during the first fourteen (14) months following the Closing Date (through and including June 15, 2026), to the extent that Net Operating Income from the Property is insufficient to cover such monthly interest payments, all as more particularly provided in the Interest Shortfall Guaranty. Borrower acknowledges that the Interest Shortfall Guaranty does not reduce, waive or defer any payment obligation of Borrower under the Note or this Mortgage, and that all payments of interest and principal remain due in accordance with the Note.

ARTICLE 17 — MISCELLANEOUS

17.1 Amendments; Waivers. This Mortgage may be amended, modified or supplemented only by a written instrument signed by Borrower and Lender. No waiver of any provision of this Mortgage, or of any breach or default, shall be effective unless in writing signed by Lender, and no such waiver shall be deemed a waiver of any other provision, breach or default or of any subsequent breach or default. Lender's acceptance of any payment after the due date shall not constitute a waiver of the Event of Default arising therefrom.

17.2 Severability. If any provision of this Mortgage is held to be invalid, illegal or unenforceable in any respect, such invalidity, illegality or unenforceability shall not affect any other provision, and this Mortgage shall be construed as if such provision had never been contained herein, to the fullest extent permitted by applicable law.

17.3 Entire Agreement; Conflict. The Loan Documents constitute the entire agreement of the parties with respect to the Loan and supersede all prior agreements and understandings. In the event of any conflict between the terms of the Term Sheet and the terms of this Mortgage or any other Loan Document, the terms of this Mortgage or such other Loan Document shall control. In the event of any conflict between this Mortgage and the Note with respect to the payment of principal, interest or prepayment premiums, the Note shall control.

17.4 Successors and Assigns. This Mortgage shall bind and benefit Borrower and Lender and their respective successors and permitted assigns. Borrower may not assign, delegate or transfer any of its rights or obligations under this Mortgage without Lender's prior written consent, and any attempted assignment without such consent shall be void. Lender may assign, sell, participate or otherwise transfer all or any portion of its interest in the Loan and this Mortgage (including to any Federal Home Loan Bank or in connection with any securitization) without Borrower's consent, and in connection therewith may disclose to any actual or prospective assignee, participant, rating agency or investor all information relating to Borrower, Guarantor and the Property, subject to customary confidentiality arrangements.

17.5 No Third-Party Beneficiaries. Except for Lender's successors and assigns and the indemnified parties under the Environmental Indemnity Agreement and

Section 17.10, nothing in this Mortgage shall confer any right or remedy upon any Person other than the parties hereto.

17.6 Notices. All notices, demands, consents, approvals and other communications under this Mortgage shall be in writing and shall be deemed duly given (a) when delivered personally, (b) one Business Day after deposit with a nationally recognized overnight courier, or (c) three (3) Business Days after deposit in the United States mail, certified or registered, postage prepaid, return receipt requested, addressed as follows (or to such other address as a party may designate by notice given in accordance with this Section 17.6):

If to Lender:

Calverley Heritage Bank, 412 Whitaker Street, Savannah, Georgia 31401, Attention: Marcus Prideaux, Senior Vice President — Commercial Real Estate Lending, with a copy (which shall not constitute notice) to Fielding, Ashworth & Cole LLP, Charleston, South Carolina, Attention: Catherine Ashworth, Partner.

If to Borrower:

Palmetto Gateway Partners LLC, 88 Broad Street, Suite 200, Charleston, South Carolina 29401, Attention: Neil Ashford Graydon, with a copy (which shall not constitute notice) to Cartwright & Lyons LLP, Charleston, South Carolina.

If to Guarantor:

Neil Ashford Graydon, 14 Church Street, Charleston, South Carolina 29401.

17.7 Governing Law. This Mortgage shall be governed by and construed in accordance with the laws of the State of South Carolina, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. The parties acknowledge that the Property is located in the State of South Carolina and that the laws of the State of South Carolina govern the creation, perfection, priority, enforcement and foreclosure of the lien created hereby.

17.8 Venue; Consent to Jurisdiction. Borrower irrevocably submits to the non-exclusive jurisdiction of the courts of the State of South Carolina and the United States District Court for the District of South Carolina for the purpose of any suit, action or proceeding arising out of or relating to this Mortgage or the Loan Documents, and Borrower waives any objection to venue in Charleston County, South Carolina and any defense based on forum non conveniens. Nothing in this Section shall limit Lender’s right to bring an action in any other court of competent jurisdiction, including any court in which the Property or any other Collateral is located or in which Borrower maintains assets.

17.9 WAIVER OF JURY TRIAL. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, BORROWER AND LENDER EACH KNOWINGLY, VOLUNTARILY, INTENTIONALLY AND IRREVOCABLY WAIVE ANY RIGHT TO A TRIAL BY JURY IN ANY ACTION, PROCEEDING OR COUNTERCLAIM ARISING OUT OF OR RELATING TO THIS MORTGAGE, ANY OTHER LOAN

DOCUMENT, THE LOAN OR THE PROPERTY. BORROWER AND LENDER EACH ACKNOWLEDGE THAT THIS WAIVER IS A MATERIAL INDUCEMENT TO LENDER TO MAKE THE LOAN AND THAT EACH HAS HAD THE OPPORTUNITY TO CONSULT WITH COUNSEL REGARDING THIS WAIVER. BORROWER AND LENDER EACH AGREE THAT THIS SECTION MAY BE FILED WITH ANY COURT AS WRITTEN EVIDENCE OF THIS WAIVER.

17.10 Attorneys' Fees and Expenses. Borrower shall pay on demand all reasonable costs and expenses (including reasonable attorneys' fees, expert witness fees, court costs and title charges) incurred by Lender in connection with (a) the preparation, negotiation, administration, amendment and enforcement of the Loan Documents, (b) any workout, restructuring or forbearance, (c) the enforcement or defense of Lender's rights under the Loan Documents, (d) any foreclosure, receivership, bankruptcy or insolvency proceeding, and (e) the protection, preservation or realization upon the Collateral. All such amounts shall be Secured Obligations and shall bear interest at the Default Rate from the date incurred if not paid within ten (10) days after demand.

17.11 Time of the Essence. Time is of the essence with respect to each provision of this Mortgage requiring performance or payment by Borrower.

17.12 Counterparts; Electronic Signatures. This Mortgage may be executed in one or more counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Delivery of an executed counterpart by facsimile, electronic mail (including PDF) or electronic signature platform shall have the same force and effect as delivery of an originally executed counterpart, and the parties agree that this Mortgage may be executed and delivered by electronic signature in accordance with the South Carolina Uniform Electronic Transactions Act and the federal Electronic Signatures in Global and National Commerce Act.

17.13 Construction; Headings. The headings in this Mortgage are for convenience of reference only and shall not affect its interpretation. Words of any gender include each other gender, and words in the singular include the plural and vice versa.

17.14 Survival. All representations, warranties, covenants, indemnities and agreements of Borrower contained in this Mortgage shall survive the Closing Date, the making of each advance, the foreclosure of this Mortgage, any conveyance in lieu of foreclosure, and the release or satisfaction of this Mortgage, to the extent provided herein.

17.15 Further Assurances. Borrower shall execute, acknowledge, deliver and record such further instruments and take such further action as Lender may reasonably request to carry out the purposes of this Mortgage.

17.16 No Partnership; Relationship of Parties. Nothing in this Mortgage shall be deemed to create a partnership, joint venture, joint enterprise or fiduciary relationship between Borrower and Lender. The relationship of Borrower and Lender is solely that of borrower and lender (and mortgagor and mortgagee), and

Lender shall not be deemed a partner, joint venturer, agent, trustee or fiduciary of Borrower.

17.17 Lender's Discretion. Whenever this Mortgage provides that Lender may act in its discretion, or that a matter must be satisfactory to Lender, such determination shall be made by Lender in good faith and in accordance with commercially reasonable standards, unless this Mortgage expressly provides that Lender may act in its sole discretion, in which case Lender's discretion shall be absolute, subject only to the implied covenant of good faith and fair dealing.

17.18 Business Day Convention. If any Payment Date or other date on which performance is required is not a Business Day, such date shall be extended to the next succeeding Business Day, and interest shall continue to accrue during such extension.

17.19 Copies; Lost Instruments. Borrower shall be entitled to a copy (which may be electronic) of this Mortgage and the other Loan Documents as executed. No lost instrument affidavit shall be required as a condition to any enforcement action in which Lender produces a copy of the recorded Mortgage.

17.20 Acknowledgment of Terms. Borrower acknowledges that it has read this Mortgage, understands its terms, has had the opportunity to consult with counsel of its choosing, and has executed this Mortgage voluntarily and without duress.

[SIGNATURE PAGES FOLLOW]

SIGNATURE PAGE

IN WITNESS WHEREOF, Borrower has executed this Mortgage and Security Agreement as of the date first written above, and Lender has accepted this Mortgage and Security Agreement for the purposes set forth herein.

BORROWER:

PALMETTO GATEWAY PARTNERS LLC, a South Carolina limited liability company

By: **Graydon Development Group LLC**, a South Carolina limited liability company, its Managing Member

By: _____

Name: Neil Ashford Graydon

Title: Managing Member of Graydon Development Group LLC

Date: _____

LENDER:

CALVERLEY HERITAGE BANK, a Georgia state-chartered commercial bank

By: _____

Name: Marcus Prideaux

Title: Senior Vice President — Commercial Real Estate Lending

Date: _____

GUARANTOR ACKNOWLEDGMENT:

The undersigned, Neil Ashford Graydon, individually, acknowledges the terms of this Mortgage and Security Agreement and, without becoming personally liable for the payment of the Secured Obligations except as expressly provided in the Guaranty, the Completion Guaranty, the Interest Shortfall Guaranty and the Environmental Indemnity Agreement, agrees to be bound by the provisions of Article 11 and Article 16 hereof.

By: _____

Neil Ashford Graydon, individually

Date: _____

NOTARY ACKNOWLEDGMENT

STATE OF SOUTH CAROLINA)

COUNTY OF CHARLESTON)

I, the undersigned Notary Public for the State of South Carolina, do hereby certify that _____, who is personally known to me (or who produced _____ as identification), appeared before me this day in person and acknowledged that he/she is the Managing Member of Graydon Development Group LLC, a South Carolina limited liability company, which is the Managing Member of Palmetto Gateway Partners LLC, a South Carolina limited liability company, and that he/she, as such Managing Member, being duly authorized, executed the foregoing instrument for and on behalf of such limited liability companies, and that the instrument is the act and deed of Palmetto Gateway Partners LLC.

WITNESS my hand and official seal this ____ day of April, 2025.

_____

Notary Public for South Carolina

My Commission Expires: _____

(SEAL)

EXHIBIT A — LEGAL DESCRIPTION OF THE PROPERTY

PARCEL ONE (Lots 7, 8 and 9, Hampstead Village Plat):

ALL that certain piece, parcel or lot of land, together with the improvements thereon, situate, lying and being in the City of Charleston, County of Charleston, State of South Carolina, being shown and designated as **Lots 7, 8 and 9** of the Hampstead Village Plat, as recorded in **Plat Book 41 at Page 218**, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina, and having such shapes, metes, bounds and measurements as shown on said plat, reference to which is hereby made for a more complete and accurate description thereof.

Being commonly known as **520–534 King Street, Charleston, South Carolina 29403**.

Tax Map Nos.: **460-12-04-007** (Lot 7), **460-12-04-008** (Lot 8) and **460-12-04-009** (Lot 9).

PARCEL TWO (Vacated Anson Lane Strip):

TOGETHER WITH that certain strip or parcel of land formerly constituting a portion of Anson Lane, a public street, which was vacated and closed by the City of Charleston pursuant to **Ordinance No. 2019-084**, and conveyed to the predecessor in title by that certain Quitclaim Deed recorded in **Deed Book 1128 at Page 443**, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina, said strip being adjacent to and contiguous with Lot 7 of the Hampstead Village Plat, and being shown and designated on that certain plat prepared by **Cartwright Land Surveying LLC, dated January 15, 2025, and recorded in Plat Book 64 at Page 91**, in the Office of the Register of Mesne Conveyances for Charleston County, South Carolina.

[METES AND BOUNDS DESCRIPTION — TO BE INSERTED FROM THE ALTA/NSPS LAND TITLE SURVEY CERTIFIED TO LENDER, BORROWER AND THE TITLE INSURER AND DELIVERED IN ACCORDANCE WITH REQUIREMENT 9 OF COMMITMENT NO. PT-2025-04-1178.]

FOR INFORMATIONAL PURPOSES ONLY — PROPERTY SUMMARY:

Item	Description
Street address	520–534 King Street, Charleston, South Carolina 29403
County	Charleston County, South Carolina
Tax Map Nos.	460-12-04-007; 460-12-04-008; 460-12-04-009
Land area	Approximately 0.38 acres (approximately 16,553 square feet)
Improvements	Mixed-use commercial building; three ground-floor retail bays (approximately 11,400 SF) and two upper-floor office suites (approximately 19,600 SF); total gross building area approximately 31,000 SF
Zoning	GB (General Business), City of Charleston
Title commitment	No. PT-2025-04-1178, effective February 28, 2025 (Prestige Title & Settlement Services LLC, agent for

Item	Description
	Commonwealth National Title Underwriters Inc.)

EXHIBIT B — RENT ROLL AND LEASE SUMMARY AS OF THE CLOSING DATE

Space	Tenant	Status	SF	Type	Base rent $/SF	Annual rent	Expires
Bay 1 (Ground) — Lot 7	Lowcountry Provisions Inc.	Occupied	3,800	NNN	$28.50	$108,300	12/31/2027
Bay 2 (Ground) — Lot 8	Vacant	Vacant	3,800	—	—	$0	—
Bay 3 (Ground) — Lot 9	Harmon & Wren Design Studio LLC	Occupied	3,800	Modified Gross	$24.00	$91,200	06/30/2026
2nd Floor Suite A	Tidemark Consulting Group LLC	Occupied	9,800	NNN	$22.00	$215,600	03/31/2029
2nd Floor Suite B	Vacant	Vacant	9,800	—	—	$0	—
Total		**3 of 5 units**	**31,000**			**$415,100**	

Notes and disclosures (incorporated into the representations in Section 5.4):

1. **Rent escalations; certified rent roll.** The amounts shown above are the base rents stated in the leases and in Borrower's certified rent roll. Borrower's rent roll also reflects contractual escalations, being a three percent (3%) annual increase under the Lowcountry Provisions Inc. lease commencing January 1, 2025 (which would produce a rent of $29.36/SF and $111,549 per annum) and a two and one-half percent (2.5%) annual increase under the Harmon & Wren Design Studio LLC lease commencing July 1, 2023 (which would produce a rent of $25.22/SF and $95,836 per annum as of July 1, 2024). Borrower shall certify to Lender, on or before the Closing Date, the rent actually payable under each Lease as of the Closing Date, and this **Exhibit B** shall be conformed to that certification prior to recording. The annual base rent payable as of the Closing Date, determined in accordance with the contractual escalation provisions, is $422,985.

2. **Right of first refusal — Bay 2.** The lease with Harmon & Wren Design Studio LLC grants that tenant a right of first refusal with respect to Bay 2 (3,800 SF). Any bona fide third-party offer to lease Bay 2 must first be offered to Harmon & Wren Design Studio LLC on the same material terms, with a fifteen (15) business day acceptance period. The ROFR survives renewal of the Bay 3 lease. If the Bay 3 lease is not renewed, the ROFR terminates.

3. **Renewal options.** Lowcountry Provisions Inc.: one five-year renewal at fair market value with a floor equal to the then-current rent (nine months' notice; notice deadline March 31, 2027). Harmon & Wren Design Studio LLC: one three-year renewal at 95% of fair market value (six months' notice;

notice deadline December 31, 2025). Tidemark Consulting Group LLC: two three-year renewals at fair market value (twelve months' notice).

4. **Tenant early termination right (Harmon & Wren).** The Bay 3 lease contained an early termination right effective June 30, 2025 upon payment of three months' rent, exercisable only upon six months' prior written notice. The notice deadline of December 31, 2024 has passed without exercise, and the termination right has therefore lapsed.

5. **Assignment and subletting.** Lowcountry Provisions Inc.: no provision — the lease is silent on assignment and subletting and contains no consent requirement. Harmon & Wren Design Studio LLC: assignment requires Landlord's prior written consent, not to be unreasonably withheld; subletting of up to 50% of the premises permitted with 30 days' notice. Tidemark Consulting Group LLC: assignment requires Landlord's prior written consent, which may be withheld in Landlord's sole discretion; subletting with consent not to be unreasonably withheld.

6. **Estoppel and SNDA obligations.** Lowcountry Provisions Inc.: lease contains no estoppel certificate obligation and no subordination, non-disturbance or attornment provisions. Harmon & Wren Design Studio LLC: estoppel certificate within 15 business days of request; lease subordinate to any mortgage provided a commercially reasonable non-disturbance agreement is delivered to tenant. Tidemark Consulting Group LLC: estoppel certificate within 10 business days of request; lease subordinate to any mortgage and tenant agrees to execute an SNDA upon request.

7. **Security deposits held:** Lowcountry Provisions Inc. $18,050; Harmon & Wren Design Studio LLC $15,200; Tidemark Consulting Group LLC $35,933; total $69,183.

8. **Exclusivity.** Lowcountry Provisions Inc. holds an exclusive right to use as a specialty grocery/gourmet provisions retailer within the Property.

9. **Memoranda of lease.** No memorandum of any Lease has been recorded.

10. **Vacancy.** Bay 2 (3,800 SF) and 2nd Floor Suite B (9,800 SF) are vacant, comprising 13,600 SF, or approximately 43.9% of gross building area. Occupied area is 17,400 SF, or approximately 56.1% of gross building area.

EXHIBIT C — PERMITTED EXCEPTIONS

The Permitted Exceptions are the exceptions to title approved in writing by Lender, which, as of the Closing Date, are the following exceptions set forth in Schedule B, Part II of Commitment No. PT-2025-04-1178 (as the same may be modified by the endorsements obtained at closing):

1. **Real property taxes for the year 2025 and subsequent years** on Tax Map Nos. 460-12-04-007, 460-12-04-008 and 460-12-04-009, County of Charleston, State of South Carolina, a lien not yet due and payable.
2. **Utility easement in favor of South Carolina Electric & Gas** recorded in Deed Book 987 at Page 112, RMC Office for Charleston County, South Carolina, affecting the westerly boundary of Lot 9.
3. **SCDHEC Land Use Restriction (Controlled Recognized Environmental Condition — Lot 7)** recorded in Deed Book 1203 at Page 89, RMC Office for Charleston County, South Carolina, SCDHEC Site ID SC-29403-0772, prohibiting residential use of the ground floor of Lot 7 (Tax Map No. 460-12-04-007) and requiring maintenance and periodic inspection of the vapor barrier beneath the slab of the ground-floor commercial space on Lot 7, as more particularly described in Article 11.
4. **Balcony encroachment over the King Street right-of-way**, being the encroachment of a decorative iron balcony extending approximately two and one-half (2.5) feet beyond the front façade of the building, as shown on the ALTA/NSPS Land Title Survey prepared by Cartwright Land Surveying LLC dated January 15, 2025.
5. **Rights of tenants in possession** under the Leases described on **Exhibit B**, as tenants only, without any option to purchase or right of first refusal to purchase the Property or any portion thereof, except the right of first refusal in favor of Harmon & Wren Design Studio LLC with respect to Bay 2.
6. **Matters shown on the plat recorded in Plat Book 41 at Page 218**, RMC Office for Charleston County, South Carolina, including setback lines, rights-of-way, drainage easements and notations thereon.
7. Such other matters as Lender may approve in writing from time to time, which approval shall be evidenced by Lender’s written consent, an endorsement to Lender’s title policy, or Lender’s written acceptance of the title policy at closing.

EXHIBIT D — RENOVATION BUDGET SUMMARY

Line item	Description	Contractor / vendor	Amount	Renovation Holdback allocation
1	HVAC replacement	Beaufort Builders Group LLC	$1,200,000	$850,000
2	Elevator modernization	Beaufort Builders Group LLC	$475,000	$375,000
3	Façade restoration (including decorative iron balcony)	Beaufort Builders Group LLC	$625,000	$425,000
4	Tenant improvement allowances	Various (per lease terms)	$550,000	$450,000
5	Soft costs and contingency	Various consultants	$300,000	$150,000
	Total Renovation Budget		**$3,150,000**	**$2,250,000**

Funding sources:

Source	Amount
Lender Renovation Holdback (from Loan proceeds)	$2,250,000
Borrower Renovation Equity	$900,000
Total Renovation Funding	**$3,150,000**

Contract reference: GC Contract with Beaufort Builders Group LLC (SC General Contractor License No. SC-GC-47921) — hard costs $2,850,000 (line items 1 through 4). Soft costs and contingency of $300,000 are outside the scope of the GC Contract.

Substantial Completion Deadline: June 15, 2026.

EXHIBIT E — FORM OF DRAW REQUEST AND ARCHITECT'S CERTIFICATE

DRAW REQUEST NO. ____

Borrower: Palmetto Gateway Partners LLC

Lender: Calverley Heritage Bank

Property: 520–534 King Street, Charleston, South Carolina 29403

Requested disbursement date: _____

Amount requested: $_____

Retainage (10%): $_____

Net amount requested: $_____

1. The AIA G702/G703 Application and Certificate for Payment for this draw is attached and is certified by Borrower's architect of record.
2. The work for which payment is requested has been completed in accordance with the approved Plans and the Renovation Budget. Attached is a schedule showing, for each line item of the Renovation Budget: the original budget, the amounts previously disbursed, the amount requested, and the remaining balance.
3. Percentage of completion of the Renovation as of the date of this request: _____%.
4. Attached are conditional lien waivers for the current draw and unconditional lien waivers for all prior draws from the General Contractor and from each subcontractor performing work in an amount exceeding $25,000.
5. Attached is a title date-down endorsement from the title insurer confirming that no intervening liens or encumbrances have been recorded against the Property since the date of this Mortgage or the most recent date-down endorsement.
6. Borrower certifies that Borrower has funded the Renovation Equity in accordance with Section 8.3 of the Mortgage such that, after giving effect to this draw, aggregate disbursements from the Renovation Holdback will not exceed 71.43% of aggregate Renovation Costs incurred and certified to date.
7. No Event of Default, and no event that with notice or lapse of time or both would constitute an Event of Default, exists.
8. If this request relates to any work penetrating, disturbing or within ten (10) feet of the ground-floor slab of Bay 1 on Lot 7: attached are (a) evidence of written notice to SCDHEC, (b) the vapor barrier protection plan, and (c) the certification of the environmental professional required by Section 8.5(h) of the Mortgage.

BORROWER: PALMETTO GATEWAY PARTNERS LLC

By: Graydon Development Group LLC, its Managing Member

By: _____

Name: Neil Ashford Graydon

ARCHITECT'S CERTIFICATE

I certify that the work for which payment is requested has been completed in accordance with the approved Plans and specifications, that the percentage of completion stated above is accurate, and that the amount requested is properly payable.

Architect: _____

By: _____

Name / Title: _____

SC License No.: _____

Date: _____

EXHIBIT F — FORM OF ANNUAL LAND USE RESTRICTION COMPLIANCE CERTIFICATE

Borrower: Palmetto Gateway Partners LLC

Lender: Calverley Heritage Bank

Property: 520–534 King Street, Charleston, South Carolina 29403

SCDHEC Site ID: SC-29403-0772

Land Use Restriction: Recorded in Deed Book 1203 at Page 89, RMC Office for Charleston County, South Carolina

Certification period: January 1, ____ through December 31, ____

The undersigned, on behalf of Palmetto Gateway Partners LLC, hereby certifies to Calverley Heritage Bank as follows:

1. The ground floor of Lot 7 (Tax Map No. 460-12-04-007), comprising Bay 1 at 520 King Street, has not been used for residential purposes and has been used solely for commercial retail purposes during the certification period.
2. The vapor barrier system installed beneath the concrete floor slab of Bay 1 has been maintained in good condition and working order, has not been penetrated, removed or compromised, and remains in place and functioning. Attached as Schedule 1 is the most recent inspection report of the licensed environmental professional who inspected the vapor barrier on _____.
3. No renovation, construction, demolition or alteration activity affecting the floor slab of Bay 1 has been undertaken during the certification period, except as described on Schedule 2 (including the date of written notice to SCDHEC and the post-work certification of the environmental professional).
4. Borrower has received no notice from SCDHEC of any violation of the Land Use Restriction, and no notice that SCDHEC Site ID SC-29403-0772 has been or may be reopened.
5. Borrower has complied with all other terms and conditions of the Land Use Restriction during the certification period.
6. The No Further Action determination of SCDHEC dated August 12, 2021 remains in effect, to Borrower’s knowledge.

PALMETTO GATEWAY PARTNERS LLC

By: Graydon Development Group LLC, its Managing Member

By: _____

Name: Neil Ashford Graydon

Title: Managing Member of Graydon Development Group LLC

Date: _____